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China Equity Strategy

Anti-Involution – Priority, Progress and Potential: Market, Sector and Stock Implications

China's anti-involution approach is driving a more sustainable recovery, with MSCI China ROE to reach 13.3% by 2030E. We map sector opportunities using our "3P" framework (priority, progress, and potential), and highlight where reform is most urgent and most likely to succeed. We see 22 stocks benefitting from this trend.

China is entering a new phase of economic transformation, with anti-involution emerging as a central policy tool to tackle deflation, overcapacity, and hyper-competition. This initiative reflects a deeper shift in how the country balances growth, innovation, and sustainability – a move away from short-term stimulus toward long-term structural reform.

Since 2021, deflationary pressures have intensified, driven by a housing market slump and a surge in manufacturing investment. The September 2024 policy pivot began to address these issues, and in mid-2025 the government launched a more targeted anti-involution campaign. This phase focuses on reducing excessive competition and restoring pricing power through market-based consolidation.

In this report, we outline three scenarios for China's return on equity (ROE) through 2030. In the base case, ROE reaches 13.3%, supported by gradual reflation and measured policy execution. **The bull case** sees ROE climbing to **16.3%**, with decisive reforms and demand-side stimulus. **The bear case**, shaped by rigid intervention and weak demand, caps ROE at **10.2%**. Despite short-term volatility, we think the overall outlook is tilted to the upside.

To identify sector-level opportunities, we apply a proprietary "3P" framework: Priority, Progress, and Potential. This approach highlights where policy intervention is most urgent, where reforms are underway, and where success is most likely. **EV batteries lead the pack, followed by steel, cement and airlines. Sectors such as solar equipment and chemicals show promise but face structural hurdles, while auto, auto parts, and express delivery remain challenged by fragmentation and limited policy levers.** We also provide detailed sector-level analysis on how industry landscapes could evolve on a 3-5 year time horizon.

We highlight 22 key stock beneficiaries, selected through bottom-up analyst screening. These names span across **auto, semiconductors, consumer services, materials, capital goods, energy, retail, transportation and insurance**, each rated Overweight or Equal-weight, with >15% PT upside and market cap above US\$2bn.

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Executive Summary

Anti-Involution in China: A Bridge from Deflation to Reform

The anti-involution campaign marks the continued co-evolution of China's deflation challenge and policy remedies. The policy pivot in September 2024 was the first attempt at targeting deleveraging headwinds in systemic sectors, such as LGFVs. **The recent anti-involution push is a direct response to more intense deflation in 2Q25, and aims to address overcapacity and excessive competition in key sectors of the economy.** This initiative is not just a policy tweak, in our view; it is a recalibration of how China intends to balance growth, innovation, and sustainability in the years ahead.

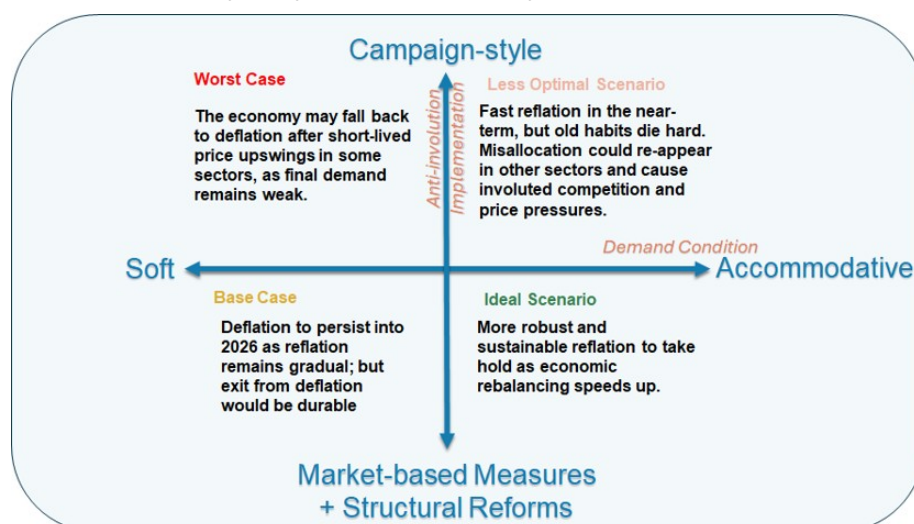
In this report, we outline a four-quadrant framework that maps out possible policy pathways based on implementation style (campaign-style vs. market-based) and demand conditions (soft vs. accommodative). Given the overcapacity landscape and deflation mix are different now than in 2015-18, we expect a more market oriented – and therefore gradual – approach. **Gradual reflation remains our base case – i.e., we expect the GDP deflator to turn positive in late 2026 or 2027 – but our level of conviction has become stronger.**

Base Case: Gradual reflation through measured execution and incremental rebalancing. GDP deflator remains subdued in 2025-26, and turns positive in 2027E.

Bull Case: Decisive reforms and demand stimulus drive faster recovery. GDP deflator turns positive from 2H2026.

Bear Case: Campaign-style interventions with limited demand support prolong deflation. No clear timeline for an end to existing deflation.

Exhibit 1: Four likely policy and reflation pathways for China



Source: Morgan Stanley Research

China's ROE outlook under Anti-Involution – Recovery since 2024 undeterred; set to beat 13% by 2030 in our base case

China's equity market has shown encouraging signs of recovery, with MSCI China's ROE rebounding from a cycle low of 10.0% in May 2024 to 11.6% by July 2025. This improvement has been driven by a mix of top-down regulatory reforms – particularly around corporate governance and shareholder returns – and bottom-up efforts by companies to enhance capital efficiency. A gradual shift in market composition toward higher-quality sectors such as internet, financials, and technology has also helped lift overall profitability. While near-term headwinds remain, including deflationary pressures and rising upstream costs, the broader policy direction, especially the anti-involution initiative, is laying the groundwork for a more sustainable recovery.

Looking ahead, we outline three scenarios for ROE through 2030, under the aforementioned bull/base/bear scenarios of different reform and easing policy combinations. **In our base case, we expect ROE to reach 13.3% in 2030**, supported by measured policy execution, gradual macro reflation, and incremental structural reforms.

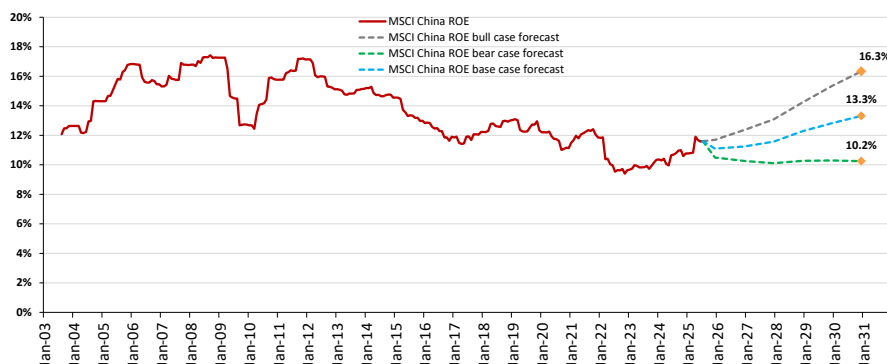
The bull case envisions a more aggressive policy push, including revamped local government incentives and stronger demand-side support, **which could drive ROE as high as 16.3% in 2030**. Conversely, **the bear case** assumes a fragmented and rigid policy approach, with campaign-style anti-involution measures and weak demand, **potentially capping ROE at 10.2%**. **While risks remain, we think the overall outlook is tilted to the upside, with policy momentum and corporate discipline pointing toward a more constructive path forward.**

Exhibit 2: Key equity market implications under three scenarios

Base Case (measured execution, incremental rebalancing, gradual reflation)				
Scenario summary	- Policy makers to adopt measured execution on anti-involution, with some key structural reforms to balance the economy. GDP deflator to remain subdued in 2025-26, and turn positive in 2027.			
MSCI China ROE (% average)	2025E: 11.1%	2026E: 11.2%	2027E: 11.6%	2028E-30E: 12.8%
Earnings growth (% CAGR)	2025E: 7.6%	2026E: 9.6%	2027E: 11.1%	2028E-30E: 8.9%
Valuation implications	- MSCI China valuation to normalize toward 12-13x forward PE, broadly in line with MSCI EM			
Bull Case (revamp on supply incentives, decisive economic rebalancing)				
Scenario summary	- Policy makers to adopt faster reforms on local government incentives, with a modest supplementary fiscal budget to stimulate demand. GDA deflator to turn positive from 2H2026.			
MSCI China ROE (% average)	2025E: 11.7%	2026E: 12.4%	2027E: 13.1%	2028E-30E: 15.3%
Earnings growth (% CAGR)	2025E: 13.5%	2026E: 14.4%	2027E: 14.2%	2028E-30E: 11.9%
Valuation implications	- MSCI China valuation to re-rate to above 14x forward PE, with superior ROE and better/more stable			
Bear Case (campaign-style anti-involution, insufficient demand)				
Scenario summary	- Policy makers to adopt campaign-style anti-involution with mandated capacity cuts, with limited additional policy easing and slow rebalacing reform. No clear timeline for existing deflation.			
MSCI China ROE (% average)	2025E: 10.5%	2026E: 10.3%	2027E: 10.1%	2028E-30E: 10.3%
Earnings growth (% CAGR)	2025E: 1.7%	2026E: 5.8%	2027E: 6.4%	2028E-30E: 4.4%
Valuation implications	- MSCI China valuation to de-rate to around or below 10x forward PE, with persistent deflationary pressure and subpar ROE, earnings growth.			

Source: Morgan Stanley Research (E) estimates.

Exhibit 3: MSCI China's ROE long-term trend under Bull/Base/Bear scenarios representing different combinations of Anti-Involution effectiveness and stimulus policy (2003-2030e) – Generally higher ROE potential in our base and bull cases



Source: Datastream, FactSet, Morgan Stanley Research estimates; Note: Historical data are monthly as of end-July 2025.

Assessing Anti-Involution sector opportunities through our "3P" framework: Priority, Progress, and Potential

In order to identify the best investment opportunities through the multi-year, multi-sector anti-involution initiatives, **we introduce our "3P" framework. Within this, we carry out a comprehensive assessment of anti-involution: 1) Priority**, or where intervention could have most effect, **2) Current Progress**, and **3) Potential**, i.e. to identify the likelihood of a successful outcome. Our goal is to assess different sectors that are involved in this initiative by placing all of them on an fair and equal basis to **gauge where the best investment opportunities lie – in other words, where we are likely to see the biggest reform/initiative upsides vs. where things stand today.**

1) Priority: We assess six metrics relating to profitability, operating efficiency, capex intensity and financial leverage. This approach helps pinpoint where policy intervention or strategic shifts could have the greatest impact:

- Profitability: Gross margin, ROE
- Operating efficiency: Asset turnover ratio, inventory turnover days
- Capex intensity with financial leverage: Capex, net gearing

2) Progress so far: We track four categories of development to gauge current progress:

- Current guidelines from government or sector association
- Current plans for cuts to capacity
- Sector self-discipline actions
- Potential M&A discussions

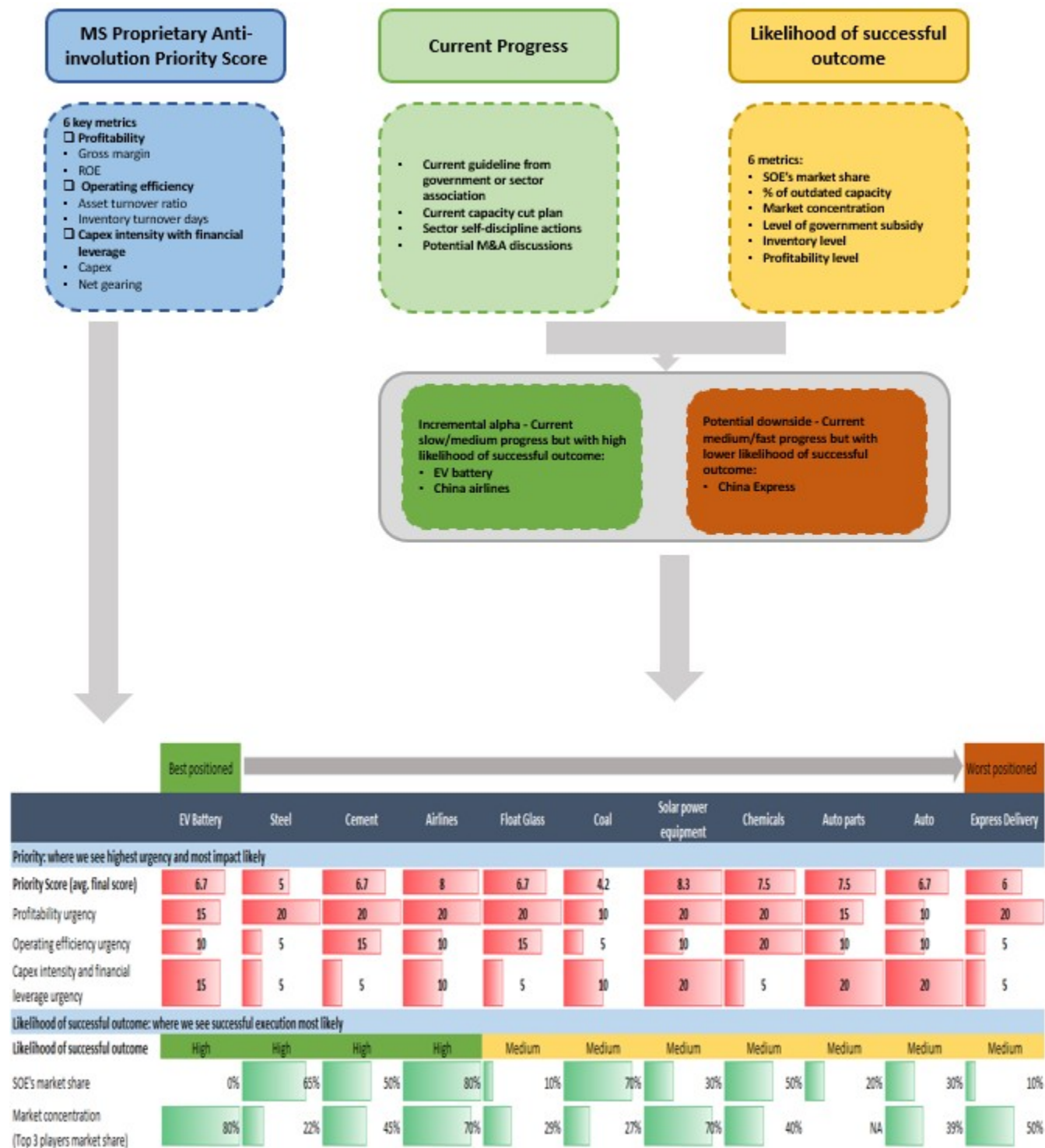
3) Potential/likelihood of successful outcome: We identify six dimensions to evaluate market concentration, capacity efficiency, and policy/subsidy that we believe are particularly important to determine which sectors are better positioned for anti-involution from meaningful capacity rationalization:

- Market share of SOEs
- Proportion of outdated capacity

- Market concentration
- Level of government subsidy
- Inventory level
- Profitability level

By bringing together these three dimensions, we can start to see a clearer picture of which sectors are positioned to benefit from anti-involution efforts, and which may face headwinds despite recent activity.

Exhibit 4: Anti-involution framework: Priority, Current Progress, and Potential framework – Batteries, selected material categories and airlines offer bigger room for improvement



Note: For priority score, we used building materials for cement and float glass; for SOE concentration, we used EV for auto, and ethylene for chemicals.
Source: Morgan Stanley Research.

Our analysis shows that **EV batteries, selected material sector, and airlines offer the most room for improvement and thus higher upside** from persistent anti-involution efforts. **By contrast, we believe that auto and auto parts, as well as fast delivery services may face bigger challenges trying to curb industry capacity** given their highly

fragmented industry landscapes and acceptable operational results.

By combining this priority score with our forward-looking outlook, we've established a clear **pecking order of sectors best positioned to benefit from incremental anti-involution.**

1. EV Batteries stand out as the top candidate. Despite operational inefficiencies and capital intensity, the sector benefits from strong policy momentum, rapid tech upgrades, and high market concentration. These dynamics naturally phase out low-quality capacity and support long-term consolidation.

2. Steel and Cement are structurally stressed but enjoy high SOE involvement and established capacity control mechanisms. Their reform track record and regulatory alignment suggest a high likelihood of effective implementation.

3. Airlines face sustained losses despite global peers' profitability. With limited oversupply and strong regulatory coordination, the sector is well-positioned for reform – though progress has been slow so far.

4. Float glass, Coal: Lower loss intensity in these two sectors reduces the urgency for anti-involution, but their SOE dominance and prior supply-side reform experience make execution relatively straightforward if pursued.

5. Solar Power Equipment shows a high urgency for reform due to record-low margins and aggressive capex. While policy supports consolidation, fragmented ownership and weak demand may delay meaningful reform.

6. Chemicals suffer from chronic overcapacity and weak profitability. Gradual phase-outs are likely, but with many new projects already approved, a full expansion halt seems unlikely.

7. Auto and Auto Parts are highly competitive and capital-intensive, but fragmented ownership and limited policy levers make coordinated reform challenging.

8. Express Delivery ranks lowest. Despite regional price hikes, structural fragmentation and minimal SOE presence limit reform feasibility. Oversupply remains the core issue, and while painful consolidation may be inevitable, i.e., phasing out smaller players through fierce competition, we see a small chance that regulators may note the oversupply issues of this industry, and encourage consolidation in a less "painful" way.

Key stock beneficiaries identified

In addition to our sector pecking order, we provide a list of 22 stocks that our analysts believe will benefit from anti-involution, including 7 stocks in Auto, 4 in Consumer Services, 3 in Energy, 2 in Materials, 2 in Capital Goods, 1 in Consumer Discretionary Distribution & Retail, Semiconductor, Transportation and Insurance.

Our screening criteria are as follows:

- Stocks provided by analysts;
- Rated Overweight or Equal-weight by Morgan Stanley Research analysts;
- Price target implied upside over 15%;

- Market cap over US\$2bn.

Exhibit 5: Key stock beneficiaries identified from Anti-Involution covered by Morgan Stanley Research – 22 in total across 9 industries

Ticker	Company name	Analyst Rating	GICS industry group	Last Price (US\$)	Avg daily t/o	Mkt cap.	Upside to target price	EPS Growth (MS estimate)		ROE		PE		DY		Analyst
					US\$ mn			2025e	2026e	2025e	2026e	2025e	2026e	2025e	2026e	
0175.HK	Geely Automobile Holdings	OW	Automobiles & Components	2.5	166	25	22.7%	6%	24%	18.7%	19.7%	10.3	8.3	1.8%	2.3%	Hsiao, Tim
2015.HK	Li Auto Inc.	OW	Automobiles & Components	11.8	212	23	51.6%	7%	58%	11.3%	15.0%	19.4	12.3	0.0%	0.0%	Hsiao, Tim
9868.HK	XPeng Inc.	OW	Automobiles & Components	10.8	190	19	28.7%	-53%	-96%	-9.0%	0.4%	NM	1157.8	0.0%	0.0%	Hsiao, Tim
000625.SZ	Chongqing Changan Automobile	OW	Automobiles & Components	1.8	234	15	42.4%	-5%	32%	8.9%	11.0%	17.9	13.5	2.2%	3.0%	Xu, Joey
002920.SZ	Huizhou Desay SV Automotive Co Ltd	OW	Automobiles & Components	17.8	102	10	25.9%	34%	16%	25.5%	24.9%	26.3	22.7	1.3%	1.5%	Wang, Shelley
603596.SS	Bethel Automotive Safety Systems Co Ltd	OW	Automobiles & Components	6.7	62	4	44.7%	21%	17%	20.5%	20.2%	19.7	16.9	0.9%	1.0%	Wang, Shelley
002906.SZ	Foryou Corporation	OW	Automobiles & Components	4.5	40	2	32.0%	24%	22%	12.1%	13.7%	20.6	16.8	1.9%	2.3%	Wang, Shelley
300750.SZ	Contemporary Amperex Technology Co. Ltd.	OW	Capital Goods	42.9	932	196	38.8%	32%	20%	25.5%	26.4%	20.0	16.7	2.5%	3.0%	Lu, Jack
000786.SZ	Beijing New Building Materials	OW	Capital Goods	3.7	56	6	17.6%	1%	7%	13.8%	13.5%	12.2	11.5	3.3%	3.5%	Zhang, Rachel
BABA.N	Alibaba Group Holding	OW	Consumer Discretionary Distribution & Retail	135.0	287	321	22.2%	14%	5%	13.0%	11.2%	17.8	19.2	NA	NA	Yu, Gary
3690.HK	Meltuan	OW	Consumer Services	13.2	962	82	31.5%	-118%	-397%	-8.0%	8.4%	NA	25.3	NA	NA	Yu, Gary
YUMC.N	Yum China Holdings Inc.	OW	Consumer Services	44.7	30	16.7	27.5%	7%	15%	16.4%	19.3%	18.2	15.7	2.2%	2.8%	Lou, Lillian
6862.HK	Haidilao International Holding Ltd	OW	Consumer Services	1.8	51	10	26.9%	-16%	30%	31.8%	30.2%	17.3	13.4	5.5%	5.5%	Ling, Hildy
CHA.O	Chagee Holdings Ltd	OW	Consumer Services	19.1	40	3.5	70.1%	-13%	24%	44.3%	30.6%	10.5	8.5	0.0%	0.0%	Lou, Lillian
601857.SS	PetroChina	OW	Energy	1.2	187	218	30.7%	-12%	15%	9.3%	10.2%	11.1	9.6	4.7%	5.4%	Lu, Jack
1088.HK	China Shenhua Energy	OW	Energy	4.5	91	102	22.7%	0%	0%	14.0%	13.1%	10.2	10.2	5.9%	5.9%	Hannah Yang
0386.HK	China Petroleum & Chemical Corp.	OW	Energy	0.6	83	91	48.5%	-10%	30%	5.4%	6.8%	10.6	8.2	6.5%	8.5%	Lu, Jack
2328.HK	PICC P&C Company Ltd	OW	Insurance	2.4	55	54	15.1%	22%	1%	14.2%	12.9%	9.6	9.5	3.6%	4.1%	Zhao, Rick
600019.SS	Baoshan Iron & Steel	OW	Materials	1.0	80	21	19.8%	63%	19%	5.9%	6.8%	12.4	10.5	4.9%	5.8%	Zhang, Rachel
600585.SS	Anhui Conch Cement Co. Ltd	OW	Materials	3.4	85	18	53.6%	69%	-1%	6.8%	6.4%	9.9	10.1	4.9%	4.9%	Zhang, Rachel
6865.HK	Flat Glass Group Co Ltd	OW	Semiconductors & Semiconductor Equipment	1.3	15	5	19.8%	-76%	258%	1.1%	3.9%	93.4	26.1	0.0%	1.9%	Yang, Hannah
0753.HK	Air China Limited	OW	Transportation	0.7	15	17	32.9%	1674%	144%	8.7%	18.5%	20.0	8.2	0.0%	0.0%	Fan, Qianlei

Source: Morgan Stanley Research, data as of August 26, 2025.

On global implications: Anti-involution is a multi-year effort with a positive long-term impact on margin earnings and ROE, in our view. However, the sectors best positioned to benefit are more domestically oriented, i.e., batteries, steel and cement, with relatively limited implications on global peers. While our European Equity Strategy team expects limited read-across to Europe, they see long-term beneficiaries from China's anti-involution theme as follows, ranked in order of impact: 1) M&M, 2) Refiners, 3) Chemicals and 4) Autos. For more details, please refer to: [Mapping Europe's Potential China Anti-involution Exposure](#).

Anti-involution – Building a bridge out of deflation

Robin Xing, Zhipeng Cai, Jenny Zheng, Harry Zhao

The anti-involution campaign marks the continued co-evolution of China's deflation challenge and policy remedies. The policy pivot in September 2024 was the first attempt at targeting deleveraging headwinds in systemic sectors, such as LGFVs. **The recent anti-involution push is a direct response to more intense deflation in 2Q25, and aims to address overcapacity and excessive competition in key sectors of the economy.** Given the overcapacity landscape and deflation mix are different now than in 2015-18, we expect a more market oriented – and therefore gradual – approach. **Gradual reflation remains our base case – i.e., we expect the GDP deflator to turn positive in late 2026 or 2027 – but our level of conviction has become stronger.**

China's evolving policy responses to entrenched deflation leads to anti-involution

China's economy has faced intense deflationary pressures since 2021, as the housing market began to slump and weigh on aggregate demand. While stronger manufacturing investment partially offset the shortfall in housing investment, supporting aggregate demand, it created overcapacity that has intensified deflation pressures in the last 1-2 years.

Over the past 12 months, there has been continued **co-evolution** of deflation dynamics and policy response. The policy pivot in September 2024 highlighted stronger central government support to cushion housing and LGFV deleveraging. But as deflation became more entrenched in 2Q25 after a brief reprieve in 4Q24-1Q25, policymakers have pushed for anti-involution to address overcapacity and excessive competition in key sectors of the economy. Meanwhile, economic rebalancing with social welfare reform is speeding up at the margin.

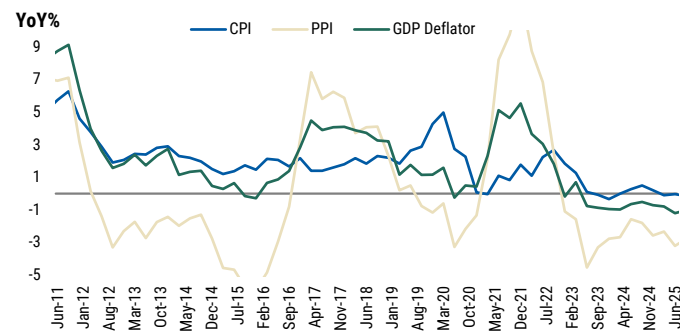
Continued evolution of economic policies to tackle the deflation challenge: China's policymakers have continued to shift their approach to tackling the 3D challenge (deflation, debt, demographics) since 2023. While the risks of overcapacity and a deflation spiral were down-played initially, continued growth headwinds and evolving social dynamics have led to a deeper understanding of deflation. This triggered a major policy pivot in September 2024, with local debt relief and a new focus on consumption stimulus with the introduction of a consumption-goods trade-in program. The latest phase – anti-involution – targets excessive competition and overcapacity in privately own enterprise (POE)-led sectors, complemented by incremental enhancement of social welfare.

Direct trigger deflation has become more entrenched: China has experienced a GDP deflator in negative territory for nine consecutive quarters and producer prices in deflation for 34 months as of mid-2025 ([Exhibit 6](#)). This deflation challenge stems from the build-up of excess capacity due to elevated investment-to-GDP ratios, as Chinese policymakers pushed for investment in manufacturing and infrastructure to offset the sharp structural

slowdown in the property sector. This has led to overcapacity in several industries. In solar, China's supply alone is over 2x global demand (including China). In EV batteries, China's supply alone is over 1.3x global demand.

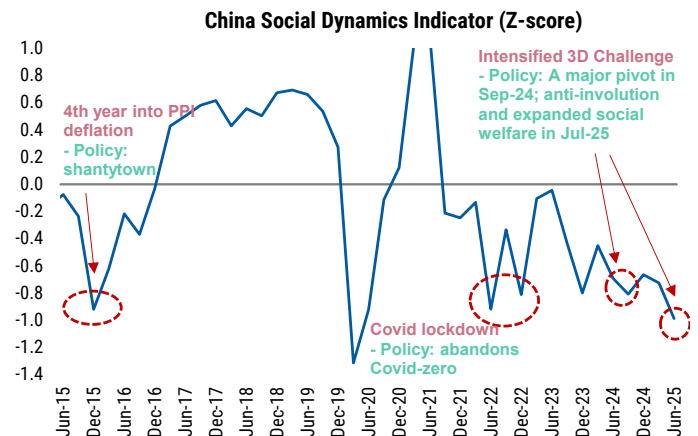
Understanding China's Anti-Involution beneath the robust real GDP: We constructed our proprietary social dynamic indicator (SDI) in 3Q24, as a way of understanding and/or predicting policy changes. Our SDI measures household perceptions of the economy, focusing on wage growth and job market conditions. The latest reading shows renewed challenges in 2Q25 ([Exhibit 7](#)). We see our SDI tracking closely with recent policy moves – such as anti-involution initiatives and expanded social welfare, which mark a fresh and constructive response to China's persistent “3D” challenges, as traditional stimulus loses its effectiveness.

Exhibit 6: More entrenched deflation in China



Source: CEIC, Morgan Stanley Research

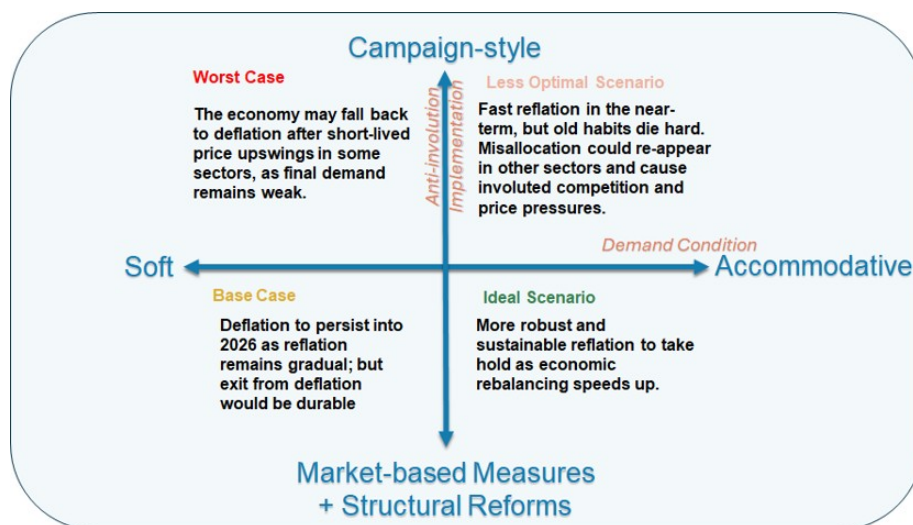
Exhibit 7: Social Dynamics Indicator: understanding China's anti-involution beneath the robust GDP number



Source: NBS, PBoC, Morgan Stanley Research

Anti-involution base case outlook: measured execution, incremental rebalancing, gradual reflation

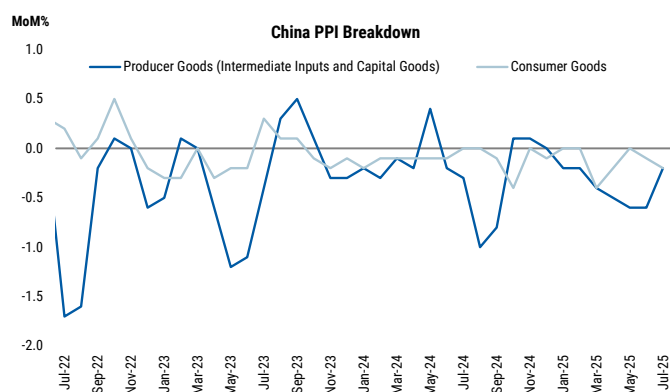
We see four potential pathways out of deflation, depending on implementation mode and demand stimulus. The mode of implementation (campaign-style vs. market-based and structural reforms) determines the size of side effects and durability of outcome. Demand stimulus (insufficient vs. accommodative) determines whether the side effects of supply-side consolidation could be contained or even overcome, which in turn dictates the sustainability and pace of reflation. Our base case largely corresponds to the lower left corner in [Exhibit 8](#).

Exhibit 8: Four likely policy and reflation pathways for China

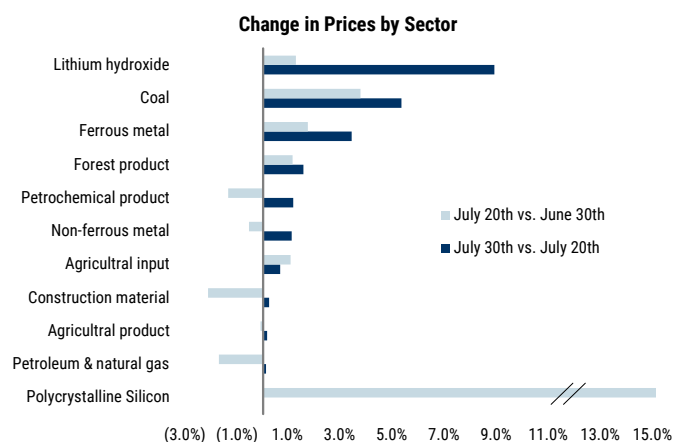
Source: Morgan Stanley Research

In the Near-term: Rebound in Upstream Prices

Time-tested playbook, inelastic demand: Upstream sectors have moved to cut output modestly, leading to visibly improved pricing. This is not surprising, as these sectors have a time-tested playbook on production cuts and tend to face price-insensitive demand from their downstream in the short-run. A contraction in supply tends to be quickly reflected in prices. Indeed, PPI MoM rebounded modestly in July to -0.2% (vs. -0.4% in Jun), led by the upstream PPI (-0.2% in July vs. -0.6% in Jun) amid modest production cuts ([Exhibit 9](#)), which offset the continued weakness in downstream PPI (-0.2% vs. -0.1% in Jun). The improvement is likely to extend to August given that July PPI does not capture late part of the month when prices continued to tick up (PPI measures average spot prices on the 5th and 20th of each month) ([Exhibit 10](#)).

Exhibit 9: Price rebound in upstream sectors

Source: CEIC, Morgan Stanley Research

Exhibit 10: Upstream prices picked up further in late-July

Source: CEIC, Morgan Stanley Research

Medium term – Measured Execution, Incremental Rebalancing, Gradual

Reflation

Measured execution: Given that the overcapacity today is concentrated in POE-led emerging industries rather than state-owned enterprise (SOE)-dominated upstream sectors, we believe Beijing will likely favor, or be constrained to adopt, a more market oriented – and therefore slower – approach to supply consolidation. First, current overcapacity sectors usually represent China's rising competitiveness in the manufacturing supply chain. Second, elevated debt-to-GDP and worsening demographics mean limited room for traditional, fast-acting demand stimulus (infrastructure and housing). This, combined with headwinds on external demand, suggests subdued final demand, which will likely constrain the pace of supply consolidation unless a sharper growth slowdown is tolerated by Beijing.

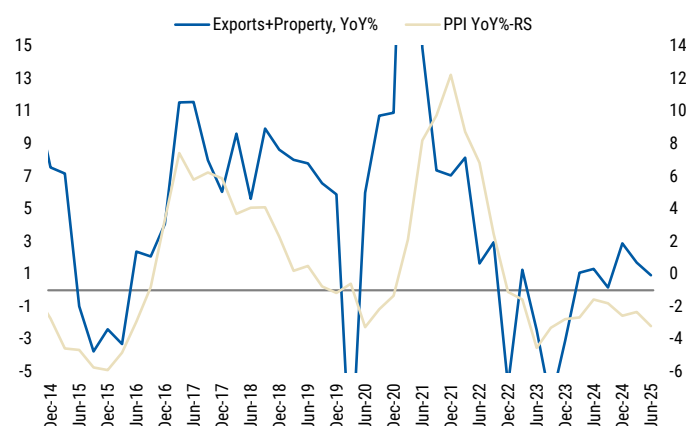
Incremental rebalancing: The recent introduction of a nationwide birth subsidy and pre-school education support are steps in the right direction, but the size remains modest (~Rmb120-130bn this year). A meaningful fiscal expansion to support consumption remains challenging, in our view, given path dependency and Beijing's concerns over already elevated public debt. Key structural reforms needed to rebalance the economy – such as cadre evaluation, tax system overhaul, and social welfare improvements – remain elusive, with more clarity expected in the upcoming 15th Five-Year Plan (outline to be released by the 4th Plenum this October).

Outcome: gradual reflation: During supply-side reform 1.0, upstream production declined sharply due to campaign-style capacity cuts, and its drag on real GDP growth peaked at 0.6ppt in 2016. Secondary sector employment also dropped by 7% cumulatively during 2015-18, though it was outweighed by a strong services job market, which helped absorb displaced industrial workers. Today, given the more pervasive overcapacity problem and the starting point of a sluggish job market, policymakers will likely implement the anti-involution initiative at a more calibrated pace. We thus maintain our view that the GDP deflator will remain subdued at -0.9%Y in 2H25 and -0.7%Y in 2026 (vs. -1%Y in 1H25).

Bull-Bear Scenarios

The bull case – revamp on supply incentives, decisive economic rebalancing: This scenario assumes faster structural reforms to local government incentives and countercyclical growth management to curb excessive investment. Meanwhile, on the demand side, we assume a modest supplementary fiscal budget in September/October to cushion the export slowdown and the near-term contractionary impact of anti-involution. Over the longer term, decisive rebalancing with meaningful ramp up of social welfare expenditure from 2026 may unleash household precautionary saving. This policy combination could lead to faster and sustainable reflation. GDP deflator could turn positive from 2H2026.

The bear case – campaign-style anti-involution, insufficient demand: This scenario assumes anti-involution is implemented with mandated capacity cuts and arbitrary restrictions and controls on quotas and pricing. Meanwhile, we assume limited additional policy easing in 2H25 in view of transitory price reactions in some sectors, supply-centric easing in 2026, and slow rebalancing reforms. In this case, we expect softening real GDP growth coupled with continued entrenched deflation, with no clear timeline for exiting deflation.

Exhibit 11: Demand is critical to reflation

Source: CEIC, Morgan Stanley Research

Why anti-involution demands a new policy approach

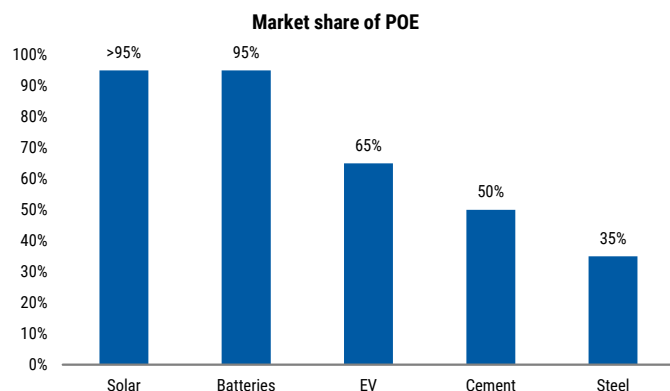
The nature of excess capacity has evolved. The 2015-2018 cycle targeted outdated and inefficient capacity that could be identified and eliminated relatively easily, whereas the current initiative confronts advanced, recently built capacity that aligns with China's emerging competitiveness. For instance, most solar manufacturing capacity *being utilized* was built since 2022.

Ownership structure represents another crucial difference – the previous reforms addressed industries dominated by state-owned enterprises (SOEs), allowing for more straightforward administrative mandates, while today's overcapacity is concentrated in sectors where private ownership ranges from 50-90%, with private companies holding 95% or more market share in the solar and battery sectors and 65% in EVs ([Exhibit 12](#)), compared to just 35% in steel and 50% in cement during the previous round of reform.

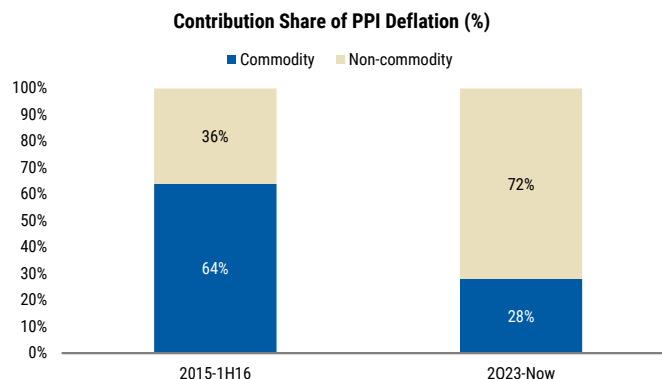
This necessitates a more nuanced implementation approach – while the previous 2015-18 cycle relied more heavily on administrative orders and direct mandates, the current anti-involution initiative would benefit from being more market-oriented and balanced.

The macroeconomic context also differs substantially. The 2015-2018 reforms were complemented by robust demand-side stimulus, including subsidies for laid-off workers, a debt swap program to ease local fiscal pressure, and shantytown renovation projects that injected over Rmb10 trillion into the real estate market. Housing and external demand were primary growth drivers during that period, with supply cuts playing a complementary role. In contrast, the current initiative faces a fundamentally more difficult macro environment with debt and demographic drags, geopolitical fragmentation in export markets, and limited fiscal space for aggressive expansion due to already high government debt levels (approximately 120% of GDP).

The composition of deflation is also different. Current deflation is more entrenched, with the GDP deflator remaining negative for nine consecutive quarters since 2Q23 (averaging -0.8%), and 72% of PPI deflation is driven by non-commodity goods compared with just 36% in the 2015-16 cycle ([Exhibit 13](#)).

Exhibit 12: POEs have dominant shares in the emerging sectors

Source: Morgan Stanley Research

Exhibit 13: PPI deflation has been driven more by the non-commodity segment this time

Source: CEIC, Morgan Stanley Research

What are the current proposed measures?

Modest production cuts: This should be more easily achieved in upstream and SOE-dominated sectors.

- **Coal:** The National Energy Administration (NEA) issued a notice on reining in coal overproduction in the top eight coal-producing provinces. Coal production adjustment is more about lowering capacity utilization than outright capacity cuts.
- **Steel:** The ongoing cuts to steel production have been relatively mild (a 2-3% reduction in 2025) with modest capacity phase-out amid stringent emission standards (vs. 14% reduction in formal capacity and aggressive elimination of informal capacity during 2016-17), as major producers have maintained decent profitability.

Tighter regulation: The **EV sector** has been able to leverage up and expand due to looser regulation. Specifically, manufacturers were allowed to delay payments to suppliers for an extended period (as much as one year). Since June, major OEMs pledged to shorten the payment period to 60 days, a self-discipline move in response to government guidance.

Mergers and acquisitions: A sector with severe overcapacity may need to undergo major consolidation, as modest production cuts would be insufficient. All eyes are on **polysilicon**, the key input for solar panels: there has been a proposal to set up a consolidation fund – funded by leading players and banks – so that smaller players would be acquired and their capacity phased out. Better profitability, if it materializes, would help pay back the initial funding. We think such a market-oriented approach would likely require lengthy negotiations over purchase prices and (re)payment details; however, if successfully executed, this approach could be used in other sectors.

Phasing out capacity with stricter efficiency or environmental criteria: In **chemicals and oil refineries**, our lead analyst, Jack Lu, sees modest room for closure and/or upgrade of older capacity, but also notes that curbing future expansion is critical for chemicals.

What to expect in the coming months?

Potential low-hanging fruit in the near term – upstream sectors with time-tested consolidation playbooks could make modest moves: In the coming months, modest consolidation moves could materialize in (upstream) sectors, with a relatively high degree of SOE concentration and successful playbooks from supply-side reforms in 2015-18. Having said that, these sectors tend to have consolidated during supply-side reform 1.0, so less adjustment is needed and there is in general less urgency to take action.

For new sectors with overcapacity, the lag between rhetoric and formal actionable plans could be >3 months: The previous supply-side reform was formally kicked off in the November 2015 meeting of the Central Leading Group for Financial and Economic Affairs (predecessor of the current Central Financial and Economic Affairs Commission). The Central Economic Work Conference in December 2015 designated reducing capacity as the top priority for 2016. Actionable plans for capacity cuts in steel, coal, cement, and coal were rolled out in February-June 2016, successively. This suggests a lag of 3-8 months between top leadership guidance and sector-level implementation plans. Given the different industrial landscape and more difficult macro environment now than in 2015-18, implementation will likely be slower and milder this time around.

Structural reforms – 15th Five Year Plan in October 4th Plenum: We hope/look for more clarity on the structural reforms necessary to achieve durable anti-involution.

- **Rebalancing:** Whether there will be more notable transfers towards households in the form of social welfare reforms.
- **Revamping the cadre evaluation system:** Verifiable local government performance matrix needs to reorient towards household consumption, income growth, and environmental quality.
- **Fiscal system reform:** China's tax regime depends heavily on indirect taxes like VAT, which reward production volume. Meanwhile, central transfers to local governments are based on "projects". The tax system needs to shift towards direct taxes that reward efficiency and profitability, while central-local fiscal transfers should be based on provision of public goods and services.

Exhibit 14: Sector-level anti-involution measures so far

Industry	Anti-involution Measures	
	Price Control	Production Control
Steel	N.A	Tangshan steel mills received official notices requiring sintering machines to cut output by ~30%
Coal	N.A	Coal mines must not exceed their announced annual capacity , and monthly output must stay within 110% of that capacity . Violators face mandatory shutdowns and rectification orders
Cement & Glass	N.A	MIIT rolled out the revised Cement & Glass Capacity Replacement Implementation Plan, stipulating that capacity must be strictly based on government-approved quotas .
Pig Farming	N.A	The Ministry of Agriculture and Rural Affairs mandated a reduction of 1 million breeding sows
Solar Energy	China Photovoltaic Industry Association (CPIA) is enforcing minimum bid prices and promoting self-discipline to prevent predatory pricing	1. Top 10 solar glass firms agreed to cut output by 30% starting July via kiln shutdowns and output restrictions 2. Leading polysilicon producers are coordinating with regulators to phase out outdated capacity and explore acquisition of excess supply
Pharmaceutical	Volume-based procurement (VBP) now considers multiple dimensions beyond pricing	
Electric Vehicles	Authorities pledged to launch price monitoring	N.A
Online Platforms	The food delivery platforms have pledged to curb "disorderly competition" and cease price-based rivalry	N.A

Source: Morgan Stanley Research

China's ROE outlook under Anti-Involution: Recovery since 2024 undeterred; set to beat 13% by 2030 in our base case

Exhibit 15: Key equity market implications under three scenarios

Base Case (measured execution, incremental rebalancing, gradual reflation)				
Scenario summary	- Policy makers to adopt measured execution on anti-involution, with some key structural reforms to balance the economy. GDP deflator to remain subdued in 2025-26, and turn positive in 2027.			
MSCI China ROE (% average)	2025E: 11.1%	2026E: 11.2%	2027E: 11.6%	2028E-30E: 12.8%
Earnings growth (% CAGR)	2025E: 7.6%	2026E: 9.6%	2027E: 11.1%	2028E-30E: 8.9%
Valuation implications	- MSCI China valuation to normalize toward 12-13x forward PE, broadly in line with MSCI EM			
Bull Case (revamp on supply incentives, decisive economic rebalancing)				
Scenario summary	- Policy makers to adopt faster reforms on local government incentives, with a modest supplementary fiscal budget to stimulate demand. GDA deflator to turn positive from 2H2026.			
MSCI China ROE (% average)	2025E: 11.7%	2026E: 12.4%	2027E: 13.1%	2028E-30E: 15.3%
Earnings growth (% CAGR)	2025E: 13.5%	2026E: 14.4%	2027E: 14.2%	2028E-30E: 11.9%
Valuation implications	- MSCI China valuation to re-rate to above 14x forward PE, with superior ROE and better/more stable			
Bear Case (campaign-style anti-involution, insufficient demand)				
Scenario summary	- Policy makers to adopt campaign-style anti-involution with mandated capacity cuts, with limited additional policy easing and slow rebalacing reform. No clear timeline for existing deflation.			
MSCI China ROE (% average)	2025E: 10.5%	2026E: 10.3%	2027E: 10.1%	2028E-30E: 10.3%
Earnings growth (% CAGR)	2025E: 1.7%	2026E: 5.8%	2027E: 6.4%	2028E-30E: 4.4%
Valuation implications	- MSCI China valuation to de-rate to around or below 10x forward PE, with persistent deflationary pressure and subpar ROE, earnings growth.			

Source: Morgan Stanley Research (E) estimates.

China's ROE has been on a steady upward path since 2H24 despite a persistent deflationary environment onshore we have noticed a largely consistent trend of ROE recovery for MSCI China, from the latest cycle trough at 10.0% in May 2024, gradually back to 11.6% by July 2025. This ROE recovery was mainly driven by a combination of top-down regulatory reforms focused on corporate governance and shareholder returns, and bottom-up self-help efforts by corporates. Additionally, we have seen a steady shift in composition of the China equity universe towards higher quality sectors (internet, financials, information technology) and away from macro-correlated sectors (materials, property, heavy industrials, and consumer staples). The improved ROE and the rationale behind the recovery was one of the key reasons for our China upgrade in February 2025 ([China Equity Strategy: Getting Out of the Woods \[19 Feb. 2025\]](#)). **We had forecast that MSCI China's ROE could improve to ~12% by 2027, and surpass MSCI EM at that time.**

Proper Anti-Involution initiatives should help support the improving trend for longer... in our view, with nine out of 15 Chinese equity market sectors expecting higher ROE for the sector by 2030 (our base case). The policy shift toward anti-involution has laid the foundation for a more constructive recovery trajectory throughout the period.

... Despite MSCI China ROE potentially experiencing a temporary dip as a result of near-term upstream product price increases due to anti-involution. MSCI China's ROE had been on a steady upward trajectory since the second half of 2024, reaching a peak of 11.9% in April 2025. However, it has since moderated, primarily due to two factors: the drag from reciprocal tariffs and embargoes, and a decline in financial sector ROE following capital injections into the major SOE banks. This temporary dip could become prolonged, as we believe that upstream product prices could be the first batch to stabilize or even pick up given related sectors (coal, Lithium hydroxide, etc.). These sectors are among the best positioned with a higher chance for success ([Assessing Potential – Which sectors are likely to see successful execution?](#)). As a result, overall cost increase could cause MSCI China's ROE to dip further initially but stabilize and keep improving later on.

Bull-base-bear scenario analysis suggests MSCI China could be within the 10-16% range with risk-reward tilted to the upside

In our base case, we expect ROE to recover to approximately 13.3% by 2030. This scenario assumes continued measured execution of anti-involution policies, gradual macro reflation, and incremental progress on structural rebalancing. Companies are increasingly prioritizing quality growth, margin discipline, and capital efficiency, reflecting a more rational and sustainable operating environment. While challenges remain, such as slower macro growth and demographic headwinds, policy direction is supportive of steady profitability improvement.

In our base case scenario, ROE is expected to decline in 2025, primarily due to the earnings pressure on e-commerce companies stemming from intense price competition in food delivery and quick commerce. Additionally, with anti-involution initiative, near-term activity is likely to slow amid supply-side consolidation and subdued end-user demand.

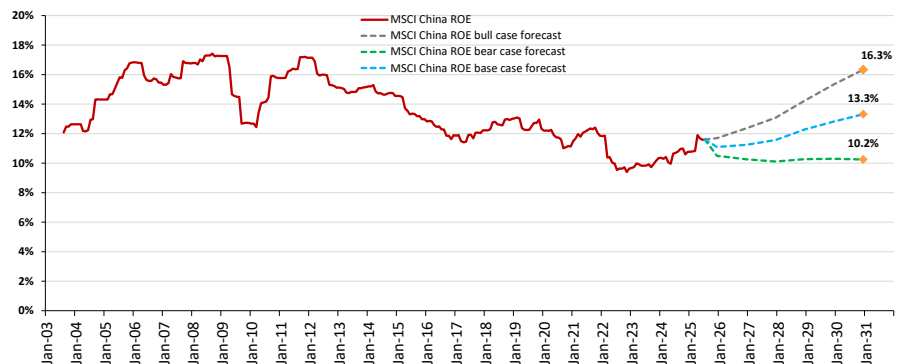
Our bull case projects ROE reaching 16.3% by 2030. This outcome would require a more aggressive and coordinated policy push, including a revamp of local government incentives and effective countercyclical growth management to curb inefficient investment. The

alignment of policy intent with corporate execution could unlock stronger productivity gains and accelerate the return profile.

Our bear case projects ROE reaching 10.2% by 2030, reflecting a more reactive and fragmented policy approach. Campaign-style anti-involution efforts, if overly rigid or misaligned with market dynamics, could dampen corporate agility. Combined with weak demand, slower nominal GDP growth, and limited policy effectiveness, this scenario implies a more defensive stance from both corporates and policymakers. While less likely, it remains a risk if security and control continue to outweigh growth as the dominant policy priority.

We discuss each scenario in greater detail in this section.

Exhibit 16: MSCI China's ROE long-term trend under Bull/Base/Bear scenarios representing different combinations of Anti-Involution effectiveness and stimulus policy (2003-2030e) – Generally higher ROE potential in our base and bull cases



Source: Datastream, FactSet, Morgan Stanley Research estimates; Note: Historical data are monthly as of end-July 2025.

Base case: gradual ROE recovery with measured anti-involution execution; Valuation discount vs. global peers to close

The underlying assumptions: In the base case, we expect Beijing will likely favor, or be constrained to adopt, a more market oriented – and therefore slower – approach to the anti-involution. And incremental rebalancing on the economy.

On the macro front, we assume incremental economic rebalancing and gradual reflation, with the GDP deflator remaining subdued at -0.9% YoY in 2H25 and -0.7% YoY in 2026, compared to -1.0% YoY in 1H25. This reflects a slow but steady normalization of pricing power and demand conditions.

At the corporate level, companies are increasingly prioritizing quality growth, margin discipline, and capital efficiency, signaling a more rational and sustainable operating environment. This shift is consistent with the broader anti-involution narrative, where firms are encouraged to compete on innovation and productivity rather than scale and intensity.

How ROE could trend? We expect MSCI China's ROE to gradually recover to around 13.3% by 2030, a level last seen during the 2018–2019 cycle following supply-side reform 1.0 and targeted demand-side stimulus. This would bring ROE back in-line with MSCI

China's long-term average of 13.0%, and slightly above MSCI EM's average of 12.6%.

Implications for valuation: A steady ROE recovery should help re-engage fundamental investors and support a re-rating of China's equity market. We expect valuations to normalize toward 12-13x forward PE, broadly in-line with MSCI EM.

Divergence at the sector level: At the sector level, we expect the recovery to be uneven but encouraging. A majority of industry groups – 12 out of 20 – are projected to show meaningful ROE improvement over the next five years. Leading sectors include Auto, Healthcare, Materials, Real Estate, Semiconductor, Transportation, and Utilities. On the earnings side, roughly half of the industry groups are expected to deliver double-digit growth, reinforcing the case for selective optimism across the broader market.

Exhibit 17: Morgan Stanley's estimated MSCI China ROE by industry group over the medium/longer term under our base case – 12 out of 20 projected to show meaningful ROE improvement by 2030

Sector ROE Decomposition	Base Case AVG ROE (MS forecast)				Trend
	2025E	2026E	2027E	2028E-2030E	
Automobiles & Components	11.4%	13.3%	14.3%	13.8%	/
Financials					
Banks	9.7%	9.5%	9.7%	9.9%	/
Insurance	11.8%	11.6%	11.4%	11.4%	
Consumer					/
Food & Beverages	19.6%	19.0%	18.0%	16.9%	
Home durables	20.9%	20.6%	20.2%	19.3%	
Restaurants	16.8%	17.2%	18.0%	19.4%	
Energy	9.6%	9.1%	9.4%	8.4%	/
Healthcare	12.0%	12.2%	13.1%	14.7%	
Industrials	13.6%	12.9%	12.6%	12.7%	/
Internet					
E-commerce	14.2%	15.9%	16.2%	15.2%	
Media & Entertainment	23.0%	22.1%	21.2%	19.6%	/
Materials	5.6%	6.0%	6.2%	6.7%	
Real Estate	3.2%	3.6%	4.1%	4.2%	/
Semiconductors	8.6%	11.7%	12.7%	14.2%	
Software & Services	7.4%	9.4%	10.8%	12.1%	/
Technology Hardware & Equipment	14.7%	15.3%	15.3%	15.3%	
Telecommunication Services	8.8%	9.3%	9.8%	10.3%	/
Transportation	8.9%	9.9%	10.3%	10.4%	
Utilities	7.8%	9.6%	10.6%	10.1%	/

Source: ModelWare, Morgan Stanley Research (E) estimates.

Exhibit 18: Morgan Stanley's estimated MSCI China earnings growth by industry group over the medium/longer term under our base case – half expected to deliver double-digit growth

Sector Earnings Growth	Base Case Earnings Growth (MS forecast)				Trend
	2025E	2026E	2027E	2028E-2030E	
Automobiles & Components	13.9%	19.2%	14.5%	10.5%	
Financials					
Banks	0.7%	4.9%	7.8%	6.9%	
Insurance	(14.5%)	6.7%	7.1%	8.5%	
Consumer					
Food & Beverages	11.4%	9.2%	6.7%	8.1%	
Home durables	12.5%	12.0%	10.7%	9.5%	
Restaurants	15.9%	15.1%	13.3%	10.9%	
Energy	(14.9%)	1.1%	9.8%	(0.3%)	
Healthcare	11.6%	12.0%	12.5%	14.0%	
Industrials	2.9%	9.0%	9.1%	5.6%	
Internet					
E-commerce	(26.4%)	26.9%	17.0%	10.2%	
Media & Entertainment	13.0%	13.4%	11.9%	11.0%	
Materials	26.3%	10.9%	5.3%	6.3%	
Real Estate	(0.4%)	7.7%	6.4%	6.3%	
Semiconductors	8.6%	11.7%	12.7%	14.2%	
Software & Services	105.3%	37.3%	24.0%	14.4%	
Technology Hardware & Equipment	21.2%	22.1%	20.0%	16.0%	
Telecommunication Services	4.8%	9.1%	7.3%	4.2%	
Transportation	1.5%	13.7%	7.6%	8.0%	
Utilities	25.1%	18.8%	11.3%	7.2%	

Source: ModelWare, Morgan Stanley Research (E) estimates.

Bull case: accelerated ROE recovery driven by well coordinated supply management and demand stimulus; valuation back to premium vs. EM

The underlying assumptions: In the bull case, we envision a more dynamic recovery in China's ROE, underpinned by faster and more decisive structural reforms. This includes a revamp of local government incentive structures and more effective countercyclical growth management aimed at curbing inefficient investment and improving capital allocation. On the demand side, we assume a modest supplementary fiscal package in September/October, designed to cushion the impact of slowing exports and offset the near-term contractionary effects of anti-involution policies. Together, these measures could support a more sustainable refutation cycle, with the GDP deflator turning positive from the second half of 2026, marking a shift toward healthier pricing dynamics and improved corporate revenue growth.

At the corporate level, earlier refutation and more coordinated policy execution would help firms regain pricing power, consolidate supply, and benefit from re-stimulated demand. This environment encourages more disciplined investment and supports stronger earnings momentum.

How ROE could trend? We expect MSCI China's ROE to recover to around 16.3% by 2030, driven by successful supply-side consolidation and improved investment returns. Earnings growth is also expected to remain elevated for longer, supported by broader demand expansion, targeted fiscal transfers, infrastructure investment, and improved continuity in consumption and private sector activity.

Implications for valuation: The superior ROE and better/more stable earnings growth outlook would help attract fundamental investors and those with long-term horizons and a focus on thematic opportunities back to the market, providing sustained inflow and

liquidity support. We expect valuations to re-rate to above 14x 12-month forward P/E; more importantly MSCI China could trade back to a sustained valuation premium of up to 10% vs. the broad EM/market.

Divergence at the sector level: The recovery would be broad-based, with a majority of industry groups – 14 out of 20 – projected to show meaningful ROE improvement over the next five years. Leading sectors include Auto, Banks, Consumers, Healthcare, Materials, Real Estate, Semiconductor, Transportation, and Utilities. On the earnings side, we would expect 13 out of 20 industry groups to deliver double-digit growth, reinforcing the case for selective optimism across the broader market.

Exhibit 19: Morgan Stanley's estimated MSCI China ROE by industry group over the medium/longer term under our bull case – 14 out of 20 projected to show meaningful ROE improvement by 2030

Sector ROE Decomposition	Bull Case AVG ROE (MS forecast)				Trend
	2025E	2026E	2027E	2028E-2030E	
Automobiles & Components	11.4%	13.4%	14.5%	14.0%	
Financials					
Banks	9.8%	9.9%	10.2%	10.9%	
Insurance	16.4%	15.5%	14.5%	13.8%	
Consumer					
Food & Beverages	23.6%	23.6%	23.6%	23.7%	
Home durables	25.1%	26.0%	26.6%	26.3%	
Restaurants	16.8%	18.1%	20.2%	23.9%	
Energy	12.6%	12.1%	12.4%	11.4%	
Healthcare	14.5%	14.7%	15.8%	17.6%	
Industrials	15.6%	14.9%	14.6%	14.5%	
Internet					
E-commerce	17.1%	19.1%	19.4%	18.2%	
Media & Entertainment	26.5%	25.5%	24.3%	22.5%	
Materials	6.6%	7.0%	7.2%	7.7%	
Real Estate	3.6%	4.0%	4.4%	4.9%	
Semiconductors	10.0%	13.0%	15.0%	17.0%	
Software & Services	8.5%	9.6%	10.8%	12.6%	
Technology Hardware & Equipment	17.3%	17.9%	17.9%	19.4%	
Telecommunication Services	9.2%	9.9%	10.5%	11.9%	
Transportation	9.9%	10.7%	11.1%	12.0%	
Utilities	8.3%	10.1%	11.1%	10.6%	

Source: ModelWare, Morgan Stanley Research (E) estimates.

Exhibit 20: Morgan Stanley's estimated MSCI China earnings growth by industry group over the medium/longer term under our bull case – 13 out of 20 industry groups to deliver double-digit growth

Sector Earnings Growth	Bull Case Earnings Growth (MS forecast)				Trend
	2025E	2026E	2027E	2028E-2030E	
Automobiles & Components	13.9%	20.2%	16.5%	12.5%	
Financials					
Banks	1.8%	7.5%	11.1%	10.1%	
Insurance	17.6%	8.6%	6.7%	9.8%	
Consumer					
Food & Beverages	14.9%	14.8%	14.7%	13.9%	
Home durables	17.7%	17.2%	16.6%	14.9%	
Restaurants	21.1%	20.1%	19.1%	16.5%	
Energy	(9.9%)	6.1%	14.8%	4.7%	
Healthcare	25.8%	21.5%	20.7%	17.7%	
Industrials	6.0%	12.0%	12.0%	8.7%	
Internet					
E-commerce	(20.8%)	32.3%	20.4%	29.7%	
Media & Entertainment	14.9%	15.4%	13.6%	12.6%	
Materials	28.3%	15.9%	10.3%	11.3%	
Real Estate	5.3%	14.7%	15.7%	9.3%	
Semiconductors	35.0%	35.0%	30.0%	17.0%	
Software & Services	137.1%	22.2%	21.3%	15.6%	
Technology Hardware & Equipment	24.9%	26.0%	23.5%	20.4%	
Telecommunication Services	9.2%	11.2%	8.8%	8.0%	
Transportation	(2.6%)	16.7%	12.0%	12.0%	
Utilities	26.1%	19.8%	12.3%	8.2%	

Source: ModelWare, Morgan Stanley Research (E) estimates.

Bear case: ROE entrenched in pre-2024 trough level due to arbitrary policy measures; valuation follows

The underlying assumptions: In the bear case, we assume anti-involution to be implemented with mandated capacity cuts and arbitrary restrictions and controls on quotas and pricing. Meanwhile, we assume limited additional policy easing in 2H25 in view of transitory price reactions in some sectors, supply-centric easing in 2026, and slow rebalancing reforms. In this case, we expect softening real GDP growth coupled with continued entrenched deflation, with no clear timeline for exiting deflation.

At the corporate level, we expect corporates to face shrinking demand and upstream price increases due to supply consolidation. However, pricing power in downstream segments would remain constrained, resulting in pressure on both sales and margins.

How ROE could trend? We expect MSCI China's ROE to drop to 10.2% in 2030, below MSCI China's long-term average of 13.0%, and MSCI EM's average of 12.6%. We project earnings growth to hit new lows across many sectors. Industries more exposed to macro headwinds – such as Real Estate, Energy, and Banks – may experience outright earnings contraction. The shift from expansion to deleveraging and downsizing could further dampen long-term borrowing appetite, limiting ROE upside.

Implications for valuation: Persistent deflationary pressure, subpar ROE, and a muted earnings growth outlook are likely to weigh on China's valuation. We expect MSCI China's 12-month forward P/E to de-rate back to around or even below 10x, concurrent with the MSCI China's ROE retreat.

Divergence at the sector level: While the recovery is expected to be broad-based, 8 out of 20 sectors are projected to see meaningful ROE declines over the next five years –

including Banks, Consumers, Energy, and Real Estate. On the earnings front, most sectors are likely to see year-on-year earnings growth below 5%.

Exhibit 21: Morgan Stanley's estimated MSCI China ROE by industry group over the medium/longer term under our bear case – 8 out of 20 sectors are projected to see meaningful ROE declines by 2030

Sector ROE Decomposition	Bear Case AVG ROE (MS forecast)				Trend
	2025E	2026E	2027E	2028E-2030E	
Automobiles & Components	11.4%	13.3%	14.0%	13.5%	/
Financials					
Banks	9.5%	8.9%	8.3%	7.1%	\\
Insurance	6.6%	6.6%	7.1%	7.3%	
Consumer					///
Food & Beverages	19.6%	18.3%	17.1%	15.3%	
Home durables	18.1%	16.7%	15.5%	14.2%	
Restaurants	15.2%	15.0%	14.7%	14.9%	
Energy	6.6%	6.1%	6.4%	5.4%	\\
Healthcare	9.6%	9.8%	10.5%	11.7%	
Industrials	11.5%	10.9%	10.9%	10.5%	/
Internet					
E-commerce	10.0%	11.1%	11.3%	10.6%	\\
Media & Entertainment	19.6%	18.8%	18.0%	16.6%	
Materials	4.6%	5.0%	5.2%	5.7%	\\
Real Estate	3.2%	2.8%	3.2%	2.5%	
Semiconductors	5.0%	6.0%	7.0%	9.0%	\\
Software & Services	5.1%	5.7%	6.2%	6.5%	
Technology Hardware & Equipment	11.4%	11.8%	11.8%	10.1%	\\
Telecommunication Services	8.6%	8.6%	8.5%	8.6%	
Transportation	6.0%	7.4%	8.0%	6.3%	\\
Utilities	7.3%	9.1%	10.1%	9.6%	

Source: ModelWare, Morgan Stanley Research (E) estimates.

Exhibit 22: Morgan Stanley's estimated MSCI China earnings growth by industry group over the medium/longer term under our bear case – most likely to see year-on-year earnings growth below 5% by 2030

Sector Earnings Growth	Bear Case Earnings Growth (MS forecast)				Trend
	2025E	2026E	2027E	2028E-2030E	
Automobiles & Components	13.9%	19.2%	12.5%	8.5%	/
Financials					
Banks	(1.8%)	0.0%	(0.8%)	(2.7%)	\\
Insurance	(46.7%)	14.6%	7.7%	7.7%	
Consumer					///
Food & Beverages	6.7%	4.9%	4.3%	5.1%	
Home durables	7.0%	4.7%	3.9%	4.6%	
Restaurants	9.2%	6.2%	5.6%	6.1%	
Energy	(17.9%)	(1.9%)	6.8%	(3.3%)	\\
Healthcare	17.2%	14.4%	13.8%	11.8%	
Industrials	0.0%	6.0%	6.0%	2.7%	/
Internet					
E-commerce	(33.8%)	18.9%	11.9%	6.1%	\\
Media & Entertainment	11.0%	11.4%	10.1%	9.3%	
Materials	24.3%	5.9%	0.3%	1.3%	\\
Real Estate	(1.4%)	(1.6%)	1.4%	(7.7%)	
Semiconductors	10.0%	30.0%	20.0%	11.3%	\\
Software & Services	39.8%	15.4%	14.8%	5.8%	
Technology Hardware & Equipment	16.4%	17.2%	15.5%	10.6%	\\
Telecommunication Services	2.6%	2.5%	2.4%	2.0%	
Transportation	(10.1%)	2.4%	2.3%	4.2%	\\
Utilities	24.1%	17.8%	10.3%	6.2%	

Source: ModelWare, Morgan Stanley Research (E) estimates.

Assessing Anti-Involution sector opportunities through "3P" framework: Priority, Progress, and Potential

"3P" framework – 16 metrics in 3 dimensions

In order to identify the best investment opportunities through the multi-year, multi-sector anti-involution initiatives, **we introduce our "3P" framework to carry out a comprehensive assessment on anti-involution: 1) Priority, 2) Current Progress, and 3) Potential**, i.e. likelihood of a successful outcome. Our goal is to assess different sectors that are involved in this initiative by putting them on an fair and equal basis **to gauge where the best investment opportunities lie – in other words, where we are likely to see the biggest reform/initiative upsides vs. where things are today.**

In this section, we provide high-level descriptions for each of the three dimensions and the respective quantifiable metrics we integrate into the framework for each of them. We also lay out the high level conclusions, i.e., where at sector level we see the biggest potential changes and thus the mostly likely upward lifting effect for sector margins, earnings and ROEs, and potential single stock opportunities. For a more detailed methodology, algorithm and findings per each dimension, please refer to in-depth discussions in, [Assessing Priority - Where we see highest urgency and most impact likely](#), [Assessing Progress – Policy pathways and sector scenarios](#), [Assessing Potential – Which sectors are likely to see successful execution?](#)

1) Priority: We evaluate the priority/urgency for anti-involution reforms at sector level and believe that sectors/companies that are suffering from the most severe operational issues along profitability, efficiency and financial/balance sheet resilience issues will receive higher and bigger top-down policy focus as well as execution enforcement. **We assess in total 6 metrics along profitability, operating efficiency, and capex intensity with financial leverage.** This approach helps pinpoint where policy intervention or strategic shifts could have the greatest impact:

- Profitability: Gross margin, ROE
- Operating efficiency: Asset turnover ratio, Inventory turnover days
- Capex intensity with financial leverage: Capex, Net gearing

2) Progress so far: Following the July 1 Central Financial and Economic Affairs Commission meeting, most industrial regulators (MIIT, NDRC, SAMR) and industry self-disciplinary associations have held consultation meetings and/or voiced high-level proposals to regulate excessive competition. **We track the following 4 categories of developments** to gauge the current progress:

- Current guidelines from government or sector association
- Current capacity cut plans
- Sector self-discipline actions
- Potential M&A discussions

3) Potential – likelihood of successful outcome: In light of the challenges and constraints facing various sectors, evaluating the potential for anti-involution requires a nuanced understanding of several critical factors. **We identify 6 dimensions to evaluate market concentration, capacity efficiency, policy/subsidy, etc.,** which we believe are particularly important to determine which sectors are better positioned for anti-involution with meaningful capacity rationalization:

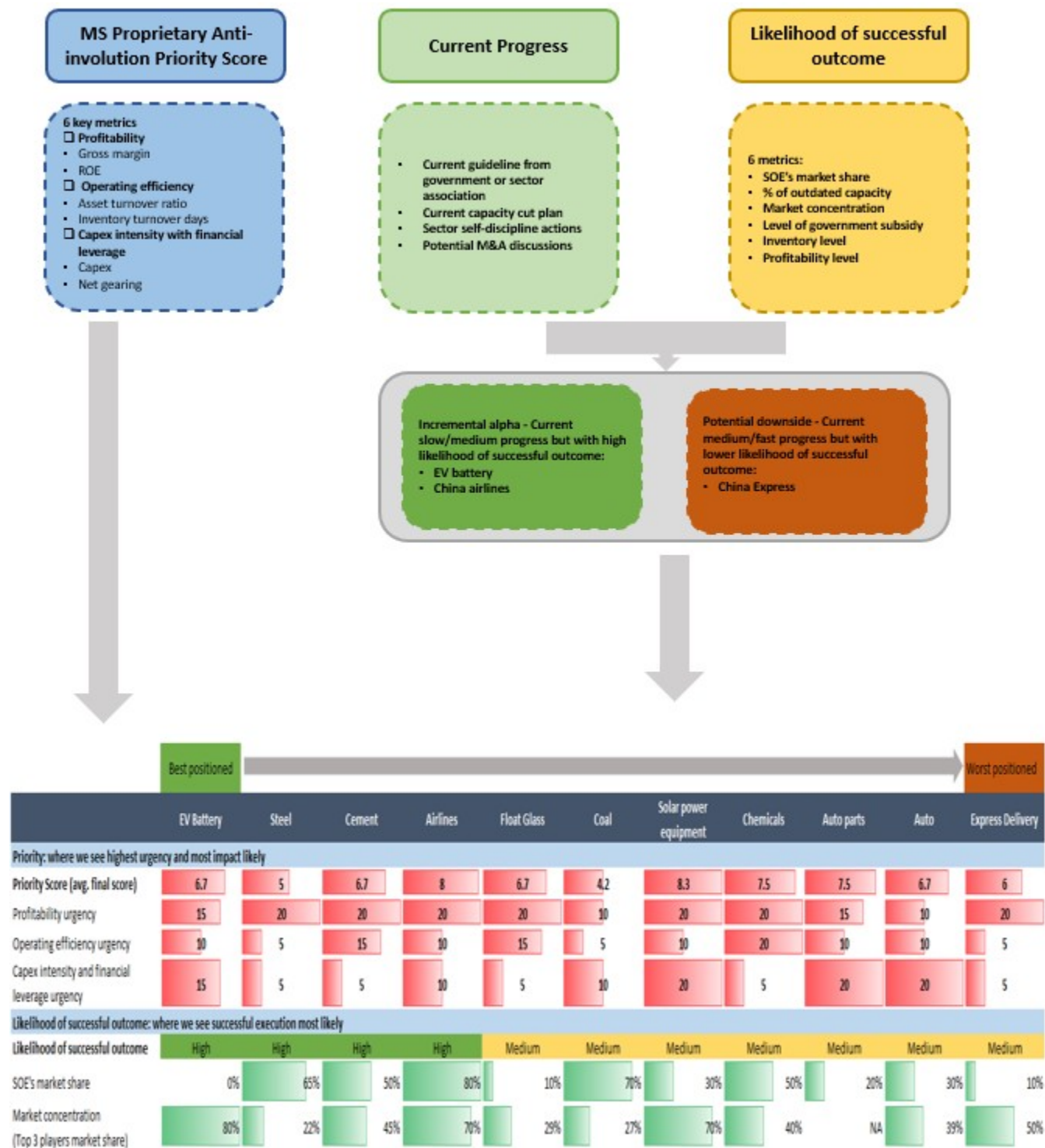
- State-owned enterprises' market share
- Proportion of outdated capacity
- Market concentration
- Level of government of subsidy
- Inventory level
- Profitability level

By bringing together the three dimensions – priority, current progress, and potential/likelihood of success, we can start to see a clearer picture of which sectors are positioned to benefit from anti-involution efforts, and which may face headwinds despite recent activity.

Sector anti-involution upside – Battery, selected materials, airlines better positioned

We expect the most upside to come from sectors where current progress on anti-involution has been relatively moderate so far, but the underlying industry landscape suggests a relatively high likelihood of a successful outcome, while current industry profitability and financial conditions also offer room for improvement. In other words, it's more important to move steadily in the right direction than simply move fast. As a result **EV batteries, selected materials, airlines offer bigger room for improvement and thus higher upside** from persistent anti-involution efforts. **Meanwhile we believe that auto and auto parts, as well as fast delivery service, may face bigger challenges curbing industry capacity** given their highly fragmented industry landscape and acceptable operational results.

Exhibit 23: Anti-involution framework: Priority, Current Progress, and Potential framework – Batteries, selected material categories and airlines offer bigger room for improvement



Note: For priority score, we used building materials for cement and float glass; for SOE concentration, we used EV for auto, and ethylene for chemicals.
Source: Morgan Stanley Research.

Calculating an aggregate "3P" score by sector to arrive at the pecking order based on upsides

We design and calculate quantifiable scores for each of the "3P" dimensions using the multiple metrics we have identified for each of them. We assign numeric scores to pre-defined ranges of these metrics to arrive at an aggregate score by dimension by sector, which can help us rank them in a more straightforward way. [Assessing Potential – Which sectors are likely to see successful execution?](#)

The strategic landscape becomes much clearer when we overlay our proprietary scoring results along Priority, Progress, and Potential. We are not only able to rank sectors by success potential but also by where the priority focus should be. By combining this priority score with our forward-looking outlook, we establish a clear **pecking order of sectors best positioned to benefit from incremental anti-involution**.

1. EV batteries: This sector faces high urgency to reform due to capital intensity and operational inefficiencies, but it also offers one of the clearest paths to successful anti-involution. Strong policy support, ongoing battery/technology upgrades, and rising safety standards are creating natural barriers to low-quality competition and encouraging consolidation. This sector also stands out for its high market concentration and rapid technological iteration. A few dominant players are driving innovation, and the pace of product cycles means inefficient capacity is naturally phased out. While policy support is still evolving, the sector's structure makes it well-suited for self-correction and long-term rationalization.

2. Cement, Steel: These sectors are under structural stress, but they benefit from high state involvement and active capacity control policies. With clear government backing and a history of effective supply-side reform, they are well-positioned to deliver tangible anti-involution outcomes. A more SOE-dominant nature, along with an environmental and safety inspection focused approach, implies higher a chance of effective implementation.

3. Airlines: Chinese airlines have been loss-making over the past five years despite a profitable global airlines universe. Meanwhile, depressed home market demand has encouraged airlines to aggressively add international capacity, further expanding Chinese airlines' shares on international routes vs. foreign peers, which we think is unsustainable. Hence, we believe anti-involution has a clear role to play in Chinese airlines. If regulators decide to speed up industry "anti-involution", airlines could see fewer hurdles vs. some other industries considering: 1) limited oversupply – load factors are above historical levels considering seasonality; and 2) better execution of regulators' requirements vs. segments dominated by non-SOEs. However, as far as we know, limited progress has been made as of now.

4. Float glass, Coal: Lower loss intensity in these two sectors reduces the urgency for anti-involution, but their SOE dominance and prior supply-side reform experience make execution relatively straightforward if pursued.

5. Solar power equipment: This sector ranks high in urgency, with record-low profitability, aggressive capex, and rising leverage. The government is pushing back against below-cost dumping and encouraging consolidation, but the dominance of private players and shrinking demand may make the path to reform more volatile.

6. Chemicals: The chemical sector is becoming more competitive, but suffers from chronic overcapacity and weak profitability. The most likely reform path is a gradual phase-out of outdated capacity, but with many new projects already approved, a full halt to expansion

seems unlikely in the near term, making anti-involution a more gradual process.

7. Auto, auto parts: The auto sector is highly competitive and capital-intensive, with urgency driven by margin pressure and overcapacity. But the sector remains fragmented and dominated by private players, making coordinated reform more difficult to execute.

8. Express delivery: This sector faces both competitive intensity and structural fragmentation. With low profitability, minimal SOE presence, and few levers for consolidation, it ranks low in both urgency resolution and reform feasibility. Despite some early signs of price hikes (i.e., price hikes executed in Guangdong and potential plans under discussion in many other provinces) over-supply remains the major hurdle to China Express's "anti-involution", and any pricing or market share control would likely only lead to deteriorating competition in the long run. The "involution" in express delivery is painful but may be the only solution for the segment, eliminating low-efficiency capacities. However, we do see a small probability that regulators may note the over-supply issues of this industry, and encourage consolidation in a less "painful" way.

Assessing Priorities: Where we see the greatest urgency and most likely impact

Building MS proprietary anti-involution priority score

The degree of damage caused by the current involution, characterized by excessive competition, margin erosion, and diminishing returns, is not evenly distributed across different sectors. As the initiative takes place we believe priority, and therefore policy guidance and attention, will be given to sectors where the need for reform is the most urgent.

We have developed a structured framework that evaluates sectors across three dimensions: **profitability, operating efficiency, and capex intensity with financial leverage**. This approach helps pinpoint where policy intervention or strategic shifts could have the greatest impact.

Anti-Involution Priority Score by sector - Morgan Stanley Methodology

Step 1 - Identifying six key metrics in three dimensions:

- **Profitability:**
 - **gross margin:** sector median in 2024, ranked by its percentile relative to the past 10 years;
 - **and ROE:** sector median in 2024, ranked by its percentile relative to the past 10 years;
- **Operating efficiency:**
 - **asset turnover ratio:** sector median in 2024, ranked by its percentile relative to the past 10 years;
 - **inventory turnover days:** sector median in 2024, ranked by its percentile relative to the past 10 years;
- **Capex intensity with financial leverage:**
 - **capex:** sector aggregate in 2024, ranked by its percentile relative to the past 10 years;
 - **net gearing:** sector median in 2024, ranked by its percentile relative to the past 10 years.

Step 2 - Classifying the urgency level

- Based on the number derived from step 1, we classify it into three urgency levels: urgent, moderate and low.
- We use different standards for different metrics, details can be found in [Exhibit 24](#)

Step 3 - Assigning and calculating score for each sector

- We assign a score of 10 for urgent, 5 for moderate and 0 for low for each metric.
- Using the score for each metric, we then sum for the same sector, and get total scores for each sector.
- The higher the score, the more urgent for anti-involution.

Exhibit 24: Sector anti-involution urgency assessment – Six metrics in three dimensions

Profitability		Operating efficiency		Capex intensity with financial leverage	
Metrics					
1. Gross margin, 2024 - percentile of last 10 Years	2. ROE, 2024 - percentile of last 10 Years	3. Asset turnover ratio, 2024 - percentile of last 10 Years	4. Inventory turnover days, 2024 - percentile of last 10 Years	5.Capex, 2024 - percentile of last 10 Years	6. Net gearing, 2024 - percentile of last 10 Years
Classification					
Urgent		<20%		>80%	
Moderate		20%-60%		60%-80%	
Low		>60%		<60%	
Score					
Urgent		10			
Moderate		5			
Low		0			

Source: Morgan Stanley Research.

1. Profitability stress: Which sectors are struggling to make money?

Sectors with persistently low or declining profitability are under the greatest pressure to break the cycle of involution. These are signs that companies are fighting for market share at the expense of returns.

- We look at the **gross margin and ROE** trend, 2024 - percentile of last 10 years to gauge the profitability.
- **Solar equipment, express, airlines, steel, building materials, chemicals stand out with low profitability**, the 2024 gross margin and ROE stands at below 20% of last 10 years level.

Exhibit 25: Sector anti-involution urgency assessment – Profitability

Median	Profitability																							
	Gross margin												ROE											
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2024, Percentile of 10Y	Urgency	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2024, Percentile	Urgency
Auto																								
Auto	16.7%	17.9%	17.5%	14.3%	14.6%	13.7%	12.5%	11.4%	12.5%	14.1%	44.4%	5	11.4%	12.9%	7.4%	4.0%	2.9%	5.1%	5.3%	5.7%	3.9%	4.9%	33.3%	5
Auto parts	24.5%	26.0%	26.4%	24.6%	24.3%	23.6%	21.4%	19.4%	21.6%	18.5%	0.0%	10	12.5%	13.8%	12.9%	10.5%	8.9%	8.3%	6.9%	6.5%	6.8%	7.0%	33.3%	5
Consumer Discretionary																								
Home appliance	26.4%	28.2%	24.2%	25.9%	30.5%	26.5%	22.6%	25.1%	23.0%	23.3%	22.2%	5	13.7%	12.4%	14.3%	12.2%	14.5%	14.2%	13.8%	9.8%	11.1%	7.6%	0.0%	10
Consumer retailing	36.9%	40.7%	36.2%	42.2%	45.2%	33.4%	35.1%	41.2%	43.3%	38.4%	44.4%	5	2.9%	3.8%	4.4%	3.7%	2.5%	-0.8%	0.0%	0.1%	2.9%	5.2%	100.0%	10
Energy																								
Chemicals	22.1%	23.8%	22.7%	22.3%	23.0%	23.2%	22.9%	18.3%	16.0%	15.7%	0.0%	10	7.4%	8.4%	9.5%	9.4%	9.5%	11.8%	12.3%	8.2%	4.7%	4.0%	0.0%	10
Materials																								
Coal	10.6%	19.4%	24.5%	25.4%	18.8%	18.4%	27.7%	26.9%	25.6%	24.9%	55.5%	5	-1.7%	2.6%	8.4%	9.6%	7.5%	6.2%	14.4%	19.1%	12.9%	7.3%	33.3%	5
Steel	-1.8%	2.7%	4.6%	5.1%	2.8%	3.5%	4.6%	1.2%	0.9%	0.3%	11.1%	10	-2.7%	4.7%	9.4%	9.4%	5.3%	6.6%	11.7%	2.1%	2.1%	0.6%	11.1%	10
Building materials	21.6%	24.3%	25.4%	28.8%	26.8%	26.7%	24.8%	17.9%	17.0%	17.4%	11.1%	10	3.7%	5.0%	6.7%	8.0%	11.5%	13.0%	9.7%	5.1%	3.3%	1.9%	0.0%	10
Transportation																								
Airlines	25.1%	24.3%	15.5%	10.2%	13.5%	-7.2%	-6.1%	-35.3%	4.2%	6.4%	0.0%	10	12.4%	7.2%	12.4%	5.3%	5.0%	-16.6%	-17.6%	-32.2%	-1.6%	-0.6%	0.0%	10
Express	33.3%	19.2%	17.9%	21.3%	21.6%	23.5%	21.4%	9.6%	18.2%	12.4%	11.1%	10	6.2%	3.6%	12.7%	11.1%	11.4%	10.6%	16.7%	15.0%	6.8%	5.9%	11.1%	10
Solar																								
Solar equipment	25.2%	24.9%	23.8%	22.6%	24.2%	23.4%	19.7%	16.6%	14.6%	7.3%	0.0%	10	9.4%	8.6%	9.6%	6.6%	9.2%	9.9%	9.7%	12.6%	9.3%	-1.1%	0.0%	10
Electrical components and equipment	22.8%	23.5%	23.4%	18.9%	26.3%	21.7%	18.4%	18.5%	21.5%	18.3%	0.0%	10	9.6%	6.8%	4.7%	2.8%	5.6%	8.5%	8.1%	7.7%	7.6%	5.5%	22.2%	5

Note: For airlines, we use the 2024 percentile based on the 2015–2019 and 2024 periods. The COVID years (2020–2023) are excluded due to their significant impact on the airline industry.

Source: Wind, Morgan Stanley Research.

2. Operating efficiency: which sectors are running inefficiently?

Sectors with low operating efficiency are often exacerbated by fragmented competition and overcapacity, improving operating efficiency is a prerequisite for sustainable returns and competitive resilience.

- We look at the **asset turnover ratio and inventory turnover days**, 2024 - percentile of last 10 years to gauge the operating efficiency.
- **Chemicals, auto, auto parts, building materials, solar equipment, equipment component and equipment, home appliance and airlines stand out with low operating efficiency**, asset turnover and/or inventory turnover days stands at below 20% of the last 10 years' level.

Exhibit 26: Sector anti-involution urgency assessment - Operating efficiency

Median	Operating efficiency																							
	Asset turnover ratio												Inventory turnover days											
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2024, Percentile of 10Y	Urgency	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2024, Percentile of 10Y	Urgency
Auto																								
Auto	83.9%	81.8%	79.7%	74.6%	83.3%	77.4%	83.0%	78.3%	87.4%	88.6%	100.0%		33	41	33	36	47	42	49	53	56	57	100.0%	10
Auto parts	74.0%	74.8%	76.9%	73.1%	69.1%	66.4%	67.6%	65.4%	64.7%	63.8%	0.0%	10	82	81	75	77	80	80	84	89	82	78	22.2%	
Consumer Discretionary																								
Home appliance	119.1%	112.2%	115.3%	114.6%	94.9%	88.8%	94.7%	81.9%	75.8%	76.0%	11.1%	10	69	66	58	61	65	64	65	69	68	62	22.2%	
Consumer retailing	40.4%	47.4%	51.3%	73.5%	66.3%	80.1%	88.0%	75.4%	86.1%	86.5%	88.8%		45	44	43	44	48	42	45	63	56	29	0.0%	
Energy																								
Chemicals	72.3%	73.7%	84.9%	86.2%	82.1%	73.2%	81.4%	73.6%	61.7%	57.3%	0.0%	10	58	50	46	45	48	48	47	49	51	52	88.8%	10
Materials																								
Coal	37.2%	35.8%	47.0%	46.2%	45.8%	41.8%	55.8%	58.9%	52.6%	44.8%	33.3%	5	36	38	26	22	20	24	19	19	20	19	22.2%	
Steel	75.1%	75.5%	95.1%	106.1%	95.2%	87.4%	122.7%	96.0%	94.5%	84.2%	22.2%	5	57	46	48	53	52	53	45	46	48	50	55.5%	
Building materials	47.5%	51.1%	59.6%	69.1%	67.2%	59.3%	65.7%	55.7%	52.2%	46.6%	0.0%	10	45	54	40	30	37	46	41	45	50	46	66.6%	5
Transportation																								
Airlines	59.3%	52.4%	53.0%	57.4%	54.8%	28.3%	27.1%	18.2%	44.7%	47.5%	0.0%	10	/	/	/	/	/	/	/	/	/	/	/	
Express	27.4%	23.8%	74.5%	69.2%	69.7%	71.5%	71.1%	62.3%	53.8%	54.6%	33.3%	5	/	/	/	/	/	/	/	/	/	/	/	
Solar																								
Solar equipment	66.4%	66.8%	72.0%	56.1%	63.3%	57.8%	62.0%	77.3%	65.3%	51.9%	0.0%	10	128	112	126	138	130	114	133	121	113	124	44.4%	
Electrical components and equipment	64.2%	51.2%	57.2%	55.0%	58.7%	61.4%	15.0%	27.0%	67.0%	-25.5%	0.0%	10	73	83	79	88	79	74	76	94	75	79	55.5%	

Note: For airlines, we use the 2024 percentile based on the 2015–2019 and 2024 periods. The COVID years (2020–2023) are excluded due to their significant impact on the airline industry.
Source: Wind, Morgan Stanley Research.

3. Capex intensity and financial leverage: which sectors are overbuilding with declining financial stability?

Sectors that are investing heavily often signal overcapacity (especially with low returns), and high leverage amplifies the urgency of anti-involution.

- We look at the **aggregated capex**, 2024 - percentile of last 10 years, and **net gearing**, 2024 - percentile of last 10 years to gauge the capex intensity and financial stability.
- **Solar equipment, and auto and auto parts stand out with high capex intensity and financial leverage**; capex and net gearing stand at over 80% of the last 10 years' level.

Exhibit 27: Sector anti-involution urgency assessment - capex intensity and financial leverage

Median	Capex intensity and Financial Leverage																							
	CAPEX (RMB mn)												Net gearing											
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2024, Percentile of 10Y	Urgency	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2024, Percentile	Urgency
Auto																								
Auto	55,854	81,855	101,435	154,606	69,112	78,618	132,230	242,916	117,863	279,748	100.0%	10	145%	153%	132%	124%	149%	129%	144%	157%	155%	169%	100.0%	10
Auto parts	31,086	39,144	48,290	57,816	45,870	44,777	50,653	65,292	71,118	67,942	88.8%	10	82%	77%	68%	72%	74%	73%	77%	77%	75%	82%	100.0%	10
Consumer Discretionary																								
Home appliance	10,367	12,231	17,072	24,036	22,048	25,243	28,659	18,706	24,959	22,603	55.5%		74%	76%	89%	85%	79%	86%	85%	84%	80%	85%	77.7%	5
Consumer retailing	39	78	79	45	210	181	225	138	202	136	44.4%		47%	50%	55%	50%	68%	75%	79%	100%	64%	68%	55.5%	
Energy																								
Chemicals	30,489	31,394	50,614	81,205	97,784	126,357	165,612	168,868	151,050	123,762	55.5%		73%	62%	59%	69%	64%	60%	65%	65%	63%	65%	77.7%	5
Materials																								
Coal	103,473	37,815	25,598	50,166	55,370	39,907	88,469	151,790	114,608	122,172	88.8%	10	158%	163%	143%	124%	127%	132%	122%	129%	100%	98%	0.0%	
Steel	91,005	32,138	53,187	55,670	74,691	68,256	107,285	88,307	69,413	62,832	33.3%		187%	174%	146%	116%	116%	113%	115%	118%	123%	142%	66.6%	5
Building materials	35,013	42,192	26,414	47,365	83,139	57,616	63,917	156,965	92,304	87,070	77.7%	5	131%	116%	114%	99%	86%	86%	87%	97%	98%	87%	22.2%	
Transportation																								
Airlines	128,866	143,409	142,612	75,939	47,464	27,788	39,589	45,784	112,229	74,531	20.0%		279%	218%	214%	254%	260%	194%	375%	721%	644%	629%	100.0%	10
Express	167	122	219	199	285	232	319	614	538	260	55.5%		77%	71%	79%	89%	71%	57%	57%	27%	73%	78%	77.7%	5
Solar																								
Solar equipment	13,841	16,879	23,470	37,865	35,754	32,969	68,720	95,424	162,160	119,324	88.8%	10	115%	98%	118%	106%	120%	94%	128%	146%	159%	154%	88.8%	10
Electrical components and equipment	3,147	5,563	4,785	5,226	3,407	3,238	8,506	6,808	20,144	6,961	77.7%	5	119%	92%	118%	125%	92%	96%	119%	125%	156%	140%	88.8%	10

Note: For airlines, we use the 2024 percentile based on the 2015–2019 and 2024 periods. The COVID years (2020–2023) are excluded due to their significant impact on the airline industry.
Source: Wind, Morgan Stanley Research.

By scoring each sector across the three dimensions, we put out a **sector anti-involution**

urgency heatmap that ranks where anti-involution efforts appear most needed.

In conclusion:

- We think there are **seven sectors with high urgency of anti-involution: solar equipment, airlines, chemicals, auto, auto parts, building materials, and electrical components and equipment.**

Exhibit 28: Sector anti-involution urgency heat map – Solar equipment, airlines, chemicals, auto & parts, building materials, and electrical equipment have the highest reform urgency

Median	Profitability				Capex intensity and Financial Leverage				Operating efficiency				Final score	
	Gross margin		ROE		CAPEX (RMB mn)		Net gearing		Asset turnover ratio		Inventory turnover days		Total	Average
	2024, Percentile of 10Y	Urgency	2024 Percentile	Urgency	2024, Percentile of 10Y	Urgency	2024 Percentile	Urgency	2024, Percentile of 10Y	Urgency	2024, Percentile of 10Y	Urgency		
Auto														
Auto	44.4%	5	33.3%	5	100.0%	10	100.0%	10	100.0%	10	100.0%	10	40	6.7
Auto parts	0.0%	10	33.3%	5	88.8%	10	100.0%	10	0.0%	10	22.2%		45	7.5
Consumer Discretionary														
Home appliance	22.2%	5	0.0%	10	55.5%		77.7%	5	11.1%	10	22.2%		30	5.0
Consumer retailing	44.4%	5	100.0%		44.4%		55.5%		88.8%		0.0%		5	0.8
Energy														
Chemicals	0.0%	10	0.0%	10	55.5%		77.7%	5	0.0%	10	88.8%	10	45	7.5
Materials														
Coal	55.5%	5	33.3%	5	88.8%	10	0.0%		33.3%	5	22.2%		25	4.2
Steel	11.1%	10	11.1%	10	33.3%		66.6%	5	22.2%	5	55.5%		30	5.0
Building materials	11.1%	10	0.0%	10	77.7%	5	22.2%		0.0%	10	66.6%	5	40	6.7
Transportation														
Airlines	0.0%	10	0.0%	10	20.0%		100.0%	10	0.0%	10			40	8.0
Express	11.1%	10	11.1%	10	55.5%		77.7%	5	33.3%	5			30	6.0
Solar														
Solar equipment	0.0%	10	0.0%	10	88.8%	10	88.8%	10	0.0%	10	44.4%		50	8.3
Electrical components and equipment	0.0%	10	22.2%	5	77.7%	5	88.8%	10	0.0%	10	55.5%		40	6.7

Source: Wind, Morgan Stanley Research.

Assessing Progress – Policy pathways and sector scenarios

Steady progress led by regulators and industry associations

China's anti-involution gained momentum after the July 1, 2025 meeting of the Central Financial and Economic Affairs Commission, reflecting a broader policy pivot from supply-side expansion to structural rebalancing.

- Jul 1, 2025, **Central Financial and Economic Affairs Commission** explicitly called for anti-involution, which was elevated as a policy focus.
- Jul 1, 2025, the Communist Party's leading journal **Qiushi** warned that "disorderly competition has destroyed the entire industry ecology", it specifically mentioned **"Solar, Lithium battery, EV, and E-commerce platform"** are highly involved in involutionary competition.
- Jul 18, 2025: **MIIT** announced an anti-involution policy would be released soon for 10 key sectors including **steel, cement, solar glass, petrochemicals, and non-ferrous metal**.
- Jul 30, 2025, **the Politburo meeting** maintained a similar tone on anti-involution, to address disorderly competition among companies, push for capacity management in key industries, and regulate local investment promotion practices.

We include 13 sectors which have already seen some anti-involution progress on our analysis, either from the 1) administrative orders from government on capacity cuts or overproduction inspections, 2) the government calling for shorten trade payable days or minimum bid prices, 3) potential M&A discussion, and 4) industry self-discipline on raising prices or cutting capacity.

13 sectors grouped into three categories based on anti-involution progress

We put the 13 sectors into three groups depending on the current progress of anti-involution: fast, medium, and slow.

Exhibit 29: Sector level anti-involution action plans, hurdles, and potential approach

Sectors	Utilization rates, 2024	Anti-involution			
		Potential anti-involution approach	Current action plan/guidelines	Hurdles/challenges	Progress made
Auto					
Auto parts	72%				
EV					
Non-EV	56%	-Regulation revisions -Standards enhancement	-Issue warning to OEMs on further price competition -Require OEMs to shorten A/P days to below 60 days -Regulate "zero mileage" used car sales -Strengthen regulatory oversight	-OEMs may provide non-cash gifts/discounts to lure customers -OEMs have multiple approaches to defer actual cash payments to suppliers -OEMs may ask auto parts suppliers to provide pricing discounts so as to squeeze profits; suppliers have pressure to do so in order to secure orders	Slow
Energy					
Commodity chemicals	75%	-Restrictions on new capex	-Local governments will gather information on petrochemical facilities that are >20 years old	-High gearing -Local tax income -Employment -SOEs' market share	Slow
EV Batteries	52%	-Mitigate EV price competition to improve quality and reduce low quality battery adoption -Increase standards for safety -Top players to continue to iterate technology	-Lifting safety requirements/standards/ -Battery tech iteration on track	-OEMs cares less about quality -EV price competition out of control	Slow
Materials					
Cement	45%	-Administrative order -Standard enhancement -Restrictions on new capex -Market-driven mechanism	-20% cut over 2025-26: MIIT requires cement companies to buy a capacity permit by end 2025 to make up for overproducing capacity (~20% overproduction at the industry level) -Starting 2026, the industry will start to enforce production based on permits	-Significant overcapacity -Demand is declining	Fast
Coal	80%	-Supply cut through environment/safety inspection -Market-driven mechanism	-National Energy Administration issued a notice on initiating coal overproduction checks in 8 major coal producing provinces	-Over 70% of capacity is owned by SOEs which all produce within desiged capacities, and willingness to overproduce is low given subdued prices in 1H25	Medium
Float Glass	76%	-Market-driven mechanism/industry self-discipline -Restrictions on new capex	-No new capacities allowed since 2017	-Difficult to remove capacity, energy consumption basically all above standard requirement	Slow
Steel	85%	-Administrative order -Standards enhancement -Restrictions on new capex	-Aggregate production cut targets received by steel mills totaled 30mnt (~3% of total production) -80%+ steel capacity sholud reach ultra-low emissions by 2027 (vs. 60% in Jul 2025)	-Profitability is reasonable now	Fast
Internet					
Food delivery/ Quick commerce	/	-Market-driven mechanism	-SAMR summoned Ele.me, Meituan and JD over unfair competition and encouraged rational competition	-Challengers (BABA/JD) must spend to gain user mindshare, while incumbent (Meituan) must spend to defend	Slow
Transportation					
China Express	78%	-Administrative order -Industry self-discipline	-Price hikes in Yiwu and Guangdong, where many pick-up franchisees are loss-making	-Capacity oversupply, any pricing or market share control could only lead to deteriorated competition over the long run	Medium
China Airlines	83%	-Optimizing pricing mechanism -Industry self-discipline	-No official guidance so far -Self-help initiatives including establishment of consolidated direct sales platform for Chinese airlines, and pricing enhancement from individual airlines	-Raising prices may hurt travel demand	Slow
Utilities					
Solar manufacturing value chain	74%	-Administrative order -Standards enhancement -M&A	-Strict legal constraints and penalties for below-cost dumping -Potential stricter energy consumption standards -Potential industry-wide acquisitions	-Potential weak solar installations in 2H25 and 2026 -Regional governments may be reluctant and shield local firms with, e.g., subsidies and delayed inspections -Might be vague on definition of "dumping"; firms may use accounting measures to try bypass	Medium

Source: Sector news, Morgan Stanley Research.

Fast progress group: These sectors have seen clear regulatory actions and measurable capacity adjustments:

- **Cement:** ~20% capacity cut in 2025-26, as MIIT requires cement companies to buy

a capacity permit by 2025-end to make up for overproducing capacity (~20% of overproduction above the industry level).

- **Steel:** 3% capacity cut in 2025; aggregated production cut targets received by steel mills totaled 30mnt.

Medium progress group: Policy signals are emerging, but implementation is still in the early stages or regionally fragmented:

- **Solar power equipment:** Enforcing minimum bid prices; potential polysilicon acquisition fund led by the top 7 producers; and potential stricter energy consumption standards.
- **Coal:** The National Energy Administration issued a notice on initiating coal overproduction, with checks in 8 major coal-producing provinces to investigate whether 2024 and 2025 YTD production exceeded designed capacity by 10%.
- **China express:** Price hikes have been initiated in Yiwu and Guangdong, where many pick-up franchisees are operating at a loss.

Slow progress group: These sectors have seen limited or indirect policy action, with progress relying more on self-regulation or long-term structural shifts.

- **Auto:** A new regulation requires large enterprises to pay SME suppliers within 60 days. While automakers like BYD, Dongfeng, and FAW have committed, some suppliers still face delays via commercial paper extensions.
- **Commodity chemicals:** Local governments are beginning to assess petrochemical facilities over 20 years old, marking the start of potential anti-involution efforts.
- **EV battery:** Safety requirements and standards are being lifted.
- **Float glass:** New capacity additions have been banned since 2017, with current discipline largely self-imposed.
- **Food delivery/Quick commerce:** SAMR summoned platforms, such as Ele.me, Meituan, and JD, to address unfair competition and promote rational pricing.
- **China airline:** Airlines are pursuing self-help strategies, including a consolidated direct sales platform and pricing improvements.

Additional hurdles demand more top-down reform efforts

Although government departments and relevant ministries have proposed many suggestions to curb involution, **actual implementation has faced numerous challenges**, including the following:

- Local governments are often hesitant to shut down capacity due to concerns over tax revenue and employment;
- Much of the capacity in question is newly built, compliant with current standards, and not easily classified as outdated, making it hard to justify closures;
- The affected sectors are also more fragmented, with many dominated by private enterprises, which makes administrative enforcement more complex;
- Weak demand limits the effectiveness of supply-side measures unless paired with demand stimulus;
- Companies have different ways to work around the rules, e.g., offering non-cash

discounts, delaying payments through commercial paper, or using accounting tactics to recalculate the cost;

- M&A execution remains challenging, especially around who should be acquired and what is the fair valuation, etc.

Thus, we believe anti-involution needs to be paired with structural reforms and demand stimulus for a more durable anti-involution success. Specifically, we are looking for more clarity on:

- **Revamping the cadre evaluation system:** Verifiable local government performance matrix needs to be reoriented towards household consumption, income growth, and environmental quality.
- **Fiscal system reform:** China's tax regime depends heavily on indirect taxes, such as VAT, which rewards production volume. Meanwhile, central transfers to local governments are based on "projects". The tax system would be better shifted towards direct taxes that reward efficiency and profitability, while central-local fiscal transfers should be based on the provision of public goods and services, in our view.
- **Modest demand side support:** This could stabilize sentiment and provide a buffer against a further deterioration in growth momentum.
- **Moderating medium- to long-term manufacturing loan growth:** Discouraging aggressive capital expenditure and curbing the pace of new capacity expansion.

Assessing Potential – Which sectors are likely to see successful execution?

Four sectors stand out with high success potential based on six dimensions

In light of the challenges and constraints facing various sectors, evaluating the potential for anti-involution requires a nuanced understanding of several critical factors. **We believe six dimensions are particularly important when assessing which sectors are better positioned for anti-involution with meaningful capacity rationalization:**

SOE market share: A higher proportion of SOEs within a sector typically enables the government to exercise more direct administrative control. This facilitates the implementation of top-down capacity reduction measures, as SOEs are more responsive to policy directives and less constrained by market forces compared to private enterprises.

Proportion of outdated capacity: Sectors with a significant share of outdated or inefficient production capacity are more amenable to policy-driven restructuring. The government can leverage environmental regulations, safety standards, or technological benchmarks to phase out obsolete facilities, thereby reducing excess supply without triggering major disruptions.

Market concentration: When a sector is dominated by a few leading players, coordination becomes more feasible. High market concentration allows for the development of targeted and executable plans among key stakeholders, improving the likelihood of successful implementation and reducing the risk of non-compliance or competitive retaliation.

Level of government of subsidy: Sectors that receive substantial fiscal support are more exposed to policy shifts aimed at curbing overcapacity. The government can strategically reduce or withdraw subsidies to discourage excessive production and limit production.

Inventory level: Elevated inventory levels often signal supply-demand imbalances and inefficiencies in production planning. In such cases, firms are more likely to voluntarily reduce output or delay expansion plans to avoid further margin compression and working capital strain. This creates a natural incentive for capacity adjustment.

Profitability level: Low profitability or sustained financial/cash losses serve as motivators for firms to reassess their operating models. In sectors where margins are thin or losses are mounting, companies are more inclined to cut capacity, consolidate operations, or exit unviable segments in pursuit of long-term sustainability.

In summary, we believe sectors characterized by a **high market share of state-owned enterprises (SOEs)**, a **large proportion of outdated capacity**, **high market concentration**, **significant government subsidies**, **elevated inventory levels**, and **low profitability** are structurally better positioned to implement successful anti-involution strategies. These conditions create both administrative levers for policy enforcement and economic incentives for firms to voluntarily reduce excess capacity and improve industry dynamics.

Exhibit 30: Anti-Involution potential for success by sector: six metrics to watch

Sectors	How to gauge the possibility of anti-involution								Sector analyst's view on likelihood of successful outcome (Low, Medium, High)	
	SOE's market share	% of outdated capacity	Market concentration	Level of Government subsidy	Inventory level	Profitability level	Key metrics to monitor the progress			
			Top 3 players' market share	(Net margin before and after subsidy)	(# of months as of sales)					
Auto										
Auto parts		20% NA	NA	0.5-1.5ppts net margin impact		1	Most are profitable	-Price tren -Capacity growth -volume share consolidation	Medium	
EV		30% NA	39%	1-2ppts net margin impact		1.5	Only 3 out of 15+ players are profitable	-Price trend -Dealer discount level	Medium	
Non-EV		80% NA	37%			1.5	Most are profitable	-Capacity growth -Volume share consolidation	Medium	
Energy										
Commodity chemicals		50%	11%	40%	Not material		1.5	GPM: -5%-15%, but most are not cash loss yet	-Phasing out of old capacity	Medium
EV Battery		0%	all newly builded, but quality determined by material science	80%	Top players: 40%/25%, small players: 35%/10%		3	Only top two players are profitable	-Monthly market share development	High
Materials										
Cement		50% NA	45%		66% of warehouse		Most are profitable in 1H25, but profitability worsening in 3Q	-Capacity exit volume, GP/t	Medium	
Coal		70% NA	27%			0.5	Most are profitable	-Any environment/safety inspection orders	High	
Float Glass		10% NA	29%	Not material		1	Most are profitable	-Capacity swap ratio or definition of legal quota	Medium	
Steel		65%	As of July 2025, 60% of capacity has met ultra-low emission standards, with a target of over 80% by 2027	22%		0.4	Most are loss making, but profitability improves significantly in 1H25	-Steel production volume, GP/t	High	
Transportation										
Express Delivery		10%	13%	50%	~5% of net profit	/	listed companies (taking ~85% of market share) are profitable	-Industry ASP	Medium	
China Airline		80%	5%	70%	2-4ppts net margin impact	/	<20% of players are profitable	-Ticket price	High	
Utilities										
Solar power equipment		30%	19%	70%	Government subsidies on land, plant construction etc.	1.97	<20% major players are profitable	-Prices across the supply chain (polysilicon/wafer/cell/module)	Medium	

Note: For commodity chemicals, 50% SOE are measured by ethylene; 11% outdated capacity are measured by ethylene units started before 2000.
Source: Sector news reports, Morgan Stanley Research.

We have grouped sectors into three categories based on their deemed chance of successful anti-involution implementation, as shown in aggregate through the aforementioned 6 dimensions – High, Medium and Low:

1. High potential:

- **Steel:** Dominated by SOEs and facing persistent overcapacity, with strong policy support for consolidation.
- **Cement:** Highly concentrated market with significant SOE presence and strong policy backing for consolidation.
- **China Airlines:** High government involvement and subsidy exposure, with ongoing restructuring efforts.
- **EV Battery:** High market concentration with technology iteration.

2. Medium potential:

- **Coal:** SOE-dominated with prior experience from supply-side reform 1.0; however, lower loss intensity reduces the urgency for anti-involution measures.
- **Float Glass:** Tighter controls on energy consumption standards are likely to push out less efficient players over time; however, lower loss intensity reduces the urgency for anti-involution measures.
- **Auto Parts:** Fragmented but with growing policy attention on quality and efficiency.
- **Electric Vehicles (EV) and Non-EV:** Mixed ownership structures and evolving regulatory landscape.
- **Solar Power Equipment:** Dominated by POEs with various players and weakening demand.
- **Commodity Chemicals:** Broad-based production with high approved new capex in

the coming years.

- **China Express:** Competitive intensity and low barriers to entry hinder consolidation.

We particularly want to highlight batteries, selected materials categories, and airlines as clear beneficiaries and express delivery as a potential laggard. By bringing together the current progress and likelihood of success, we can start to see a clearer picture of which sectors are positioned to benefit from anti-involution efforts, and which may face headwinds despite recent activities.

Key beneficiaries

We provide a list of 22 stocks that stand to benefit from anti-involution, according to our analyst bottom-up survey. The list includes 7 stocks in Auto, 4 in Consumer Services, 3 in Energy, 2 in Materials, 2 in Capital Goods, 1 in Consumer Discretionary Distribution & Retail, Semiconductor, Transportation and Insurance. Note, the financials sector is not a direct beneficiary of anti-involution, but we include financial stock beneficiaries in the sector section below, because loan growth, among other metrics, is important for many sectors' anti-involution progress.

Our screening criteria are as follows:

- Stocks provided by analyst;
- Rated Overweight or Equal-weight by Morgan Stanley Research analysts;
- Price target implied upside over 15%;
- Market cap over US\$2bn.

Exhibit 31: Key stock beneficiaries identified from Anti-Involution covered by Morgan Stanley Research – 22 in total across 9 industries

Ticker	Company name	Analyst Rating	GICS industry group	Last Price (US\$)	Avg daily 10	Mkt cap.	Upside to target price	EPS Growth (MS estimate)		ROE		PE		DY		Analyst
					US\$ mn			2025e	2026e	2025e	2026e	2025e	2026e	2025e	2026e	
0175.HK	Geely Automobile Holdings	OW	Automobiles & Components	2.5	166	25	22.7%	6%	24%	18.7%	19.7%	10.3	8.3	1.8%	2.3%	Hsiao, Tim
2015.HK	Li Auto Inc.	OW	Automobiles & Components	11.8	212	23	51.6%	7%	58%	11.3%	15.0%	19.4	12.3	0.0%	0.0%	Hsiao, Tim
9868.HK	XPeng Inc.	OW	Automobiles & Components	10.8	190	19	28.7%	-53%	-96%	-9.0%	0.4%	NM	1157.8	0.0%	0.0%	Hsiao, Tim
000625.SZ	Chongqing Changan Automobile	OW	Automobiles & Components	1.8	234	15	42.4%	-5%	32%	8.9%	11.0%	17.9	13.5	2.2%	3.0%	Xu, Joey
002920.SZ	Huizhou Desay SV Automotive Co Ltd	OW	Automobiles & Components	17.8	102	10	25.9%	34%	16%	25.5%	24.9%	26.3	22.7	1.3%	1.5%	Wang, Shelley
603596.SS	Bethel Automotive Safety Systems Co Ltd	OW	Automobiles & Components	6.7	62	4	44.7%	21%	17%	20.5%	20.2%	19.7	16.9	0.9%	1.0%	Wang, Shelley
002906.SZ	Foryou Corporation	OW	Automobiles & Components	4.5	40	2	32.0%	24%	22%	12.1%	13.7%	20.6	16.8	1.9%	2.3%	Wang, Shelley
300750.SZ	Contemporary Amperex Technology Co. Ltd.	OW	Capital Goods	42.9	932	196	38.8%	32%	20%	25.5%	26.4%	20.0	16.7	2.5%	3.0%	Lu, Jack
000786.SZ	Beijing New Building Materials	OW	Capital Goods	3.7	56	6	17.6%	1%	7%	13.8%	13.5%	12.2	11.5	3.3%	3.5%	Zhang, Rachel
BABA.N	Alibaba Group Holding	OW	Consumer Discretionary Distribution & Retail	135.0	287	321	22.2%	14%	5%	13.0%	11.2%	17.8	19.2	NA	NA	Yu, Gary
3690.HK	Meituan	OW	Consumer Services	13.2	962	82	31.5%	-118%	-397%	-8.0%	8.4%	NA	25.3	NA	NA	Yu, Gary
YUMC.N	Yum China Holdings Inc.	OW	Consumer Services	44.7	30	16.7	27.5%	7%	15%	16.4%	19.3%	18.2	15.7	2.2%	2.8%	Lou, Lillian
6862.HK	Haidilao International Holding Ltd	OW	Consumer Services	1.8	51	10	26.9%	-16%	30%	31.8%	30.2%	17.3	13.4	5.5%	5.5%	Ling, Hildy
CHA.O	Chagee Holdings Ltd	OW	Consumer Services	19.1	40	3.5	70.1%	-13%	24%	44.3%	30.6%	10.5	8.5	0.0%	0.0%	Lu, Lillian
601857.SS	PetroChina	OW	Energy	1.2	187	218	30.7%	-12%	15%	9.3%	10.2%	11.1	9.6	4.7%	5.4%	Lu, Jack
1088.HK	China Shenhua Energy	OW	Energy	4.5	91	102	22.7%	0%	0%	14.0%	13.1%	10.2	10.2	5.9%	5.9%	Hannah Yang
0386.HK	China Petroleum & Chemical Corp.	OW	Energy	0.6	83	91	48.5%	-10%	30%	5.4%	6.8%	10.6	8.2	6.5%	8.5%	Lu, Jack
2328.HK	PICC P&C Company Ltd	OW	Insurance	2.4	55	54	15.1%	22%	1%	14.2%	12.9%	9.6	9.5	3.6%	4.1%	Zhao, Rick
600019.SS	Baoshan Iron & Steel	OW	Materials	1.0	80	21	19.8%	63%	19%	5.9%	6.8%	12.4	10.5	4.9%	5.8%	Zhang, Rachel
600585.SS	Anhui Conch Cement Co. Ltd	OW	Materials	3.4	85	18	53.6%	69%	-1%	6.8%	6.4%	9.9	10.1	4.9%	4.9%	Zhang, Rachel
6865.HK	Flat Glass Group Co Ltd	OW	Semiconductors & Semiconductor Equipment	1.3	15	5	19.8%	-76%	258%	1.1%	3.9%	93.4	26.1	0.0%	1.9%	Yang, Hannah
0753.HK	Air China Limited	OW	Transportation	0.7	15	17	32.9%	1674%	144%	8.7%	18.5%	20.0	8.2	0.0%	0.0%	Fan, Qianlei

Source: Morgan Stanley Research, Data as of August 29, 2025.

China Financials: Rationalizing manufacturing credit underway; expect gradual and smooth risk digestion

Richard Xu, Chiyao Huang, Beryl Yang, Chenqian Liu

Since mid 2024, policymakers and financial sectors have been rationalizing funding support to manufacturing sectors. This more market-oriented approach has led to sequential slowdown in capex and better profit at more subsectors. On one hand, we expect loan rates to stabilize and play a bigger role in more efficient credit allocation. On the other hand, we estimate accumulated credit risks in manufacturing to remain below those in 2015, indicating banks still have the time and balance sheet cushion to digest the risk.

Related reports:

[China Financials: New funding controls to aid Anti-Involution and risk digestion \(4 Aug 2025\)](#)

Exhibit 32: China Banks: Earnings growth and ROE forecast (2025-27E); key stock beneficiaries

China Bank	Base case		
	2025E	2026E	2027E
Earnings growth	0.7%	4.9%	7.8%
ROE	9.7%	9.5%	9.7%
Key stock beneficiaries	Bank of Ningbo, Minsheng, Citic Bank, Industrial Bank, SPDB, BOC-H, ICBC-H, CCB-H		

Source: Morgan Stanley Research.

Fund flows to overcapacity sectors should soon slow to levels below supply side reform 1.0 with combined financial efforts

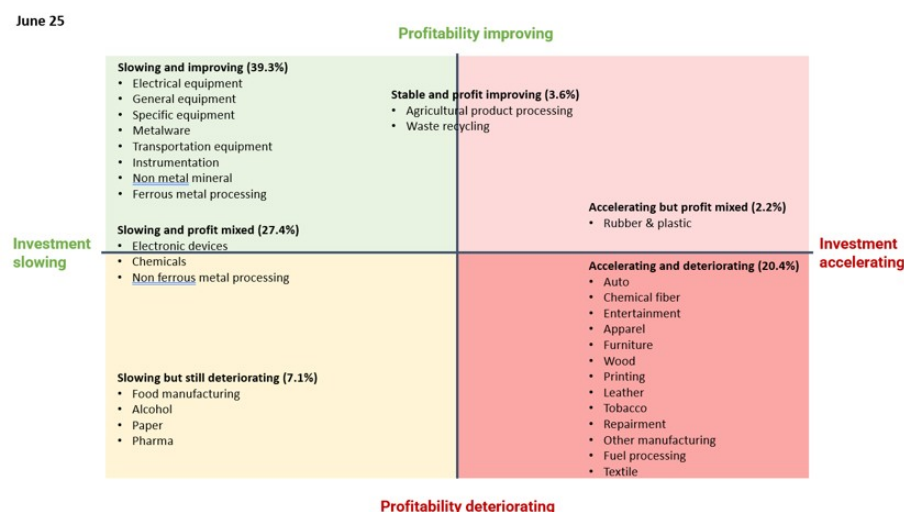
Since mid 2024, we have seen a gradual reduction in funding support for capex expansion:

- Medium- to long-term manufacturing loan growth already moderated to around 8% in June 2025 from more than 30% in early 2024 with reduced window guidance.
- The State Council published [Rules for Fair Competition Review in June 2024](#), explicitly prohibiting the granting of preferential treatment to enterprises by local governments, which used to be one of the key methods for local governments to attract industrial investment.
- On March 17, 2025, the State Council issued "Regulations to Guarantee Timely Payments to Small and Medium-sized Enterprises (SMEs)", requiring large-scale enterprises to reduce their payables to SMEs to <60 days from the delivery of cargo, projects or services, effective from June 1, 2025.
- On July 30, the NDRC published the "Consultation Paper on Guidance on the Deployment and Evaluation of Government Investment Funds", which will reduce

new investment into sectors with overcapacity.

With fewer subsidies from local government and notably slower credit support, 74% of manufacturing sectors (by total liability) have seen investment growth slow in June 2025 vs. mid-2024. More importantly, 39% of the manufacturing sector has seen profitability stabilize following a slowdown in investment growth in the past year.

Exhibit 33: 73.8% (in terms of liabilities) of sectors slowed capex in June 25 vs. 1H24; 42.8% of sectors saw better profit trends in 1H25

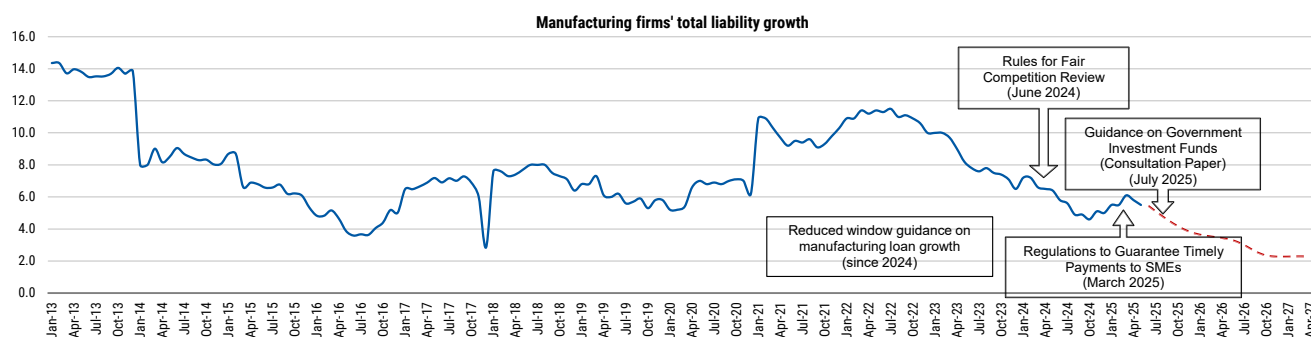


Note: number in () represents their mix in total manufacturing liabilities

Source: NBS, CEIC, Morgan Stanley Research. Note: number in () represents their mix in total manufacturing liabilities.

Our analysis shows large corporates in 123 of China's 424 industrial sub sectors have payable periods >60 days, and a gradual reduction of payable days to <60 would further curb liability growth at industrial firms to ~2% yoy, below the pace of growth during the last supply-side reforms in 2016-2018.

Exhibit 34: A combination of financial policy efforts could push manufacturing liability growth towards 2-3%, notably lower than during China's supply-side reforms in 2016-18



Source: NBS, CEIC, Morgan Stanley Research

We continue to expect a smooth risk digestion process although it may take time

We continue to believe that China's financial system has the time and room to digest industrial credit risks related to its overcapacity issues, and the current pace of funding tightening to high risk sectors should lead to a process of gradual capacity digestion. In addition, given the different approach being taken now to when supply-side reforms were last implemented in 2016, **we can see a very different pace of capacity and risk digestion within different sectors based on their cash flows and balance sheet strength.**

Our [in-depth analysis](#) mapped credit risk behind 31 industrial sectors on their operating metrics and indicated manageable credit cost for banks from industrial sectors. We believe a gradual squeezing of funding will lead to gradual digestion of the 8% of high risk manufacturing credit over 3-4 years, with 1.2% additional annual risk digestion (Rmb640bn per year).

Exhibit 35: We believe 8.3% of industrial-related credit could have been at risk as of end-2024

	Medium risk	High risk	Potential % of credit at risk	% of manufacturing credit
Electronic devices			8%	14.5%
Electrical equipment			8%	10.5%
Auto			8%	9.8%
Chemicals			12%	8.3%
Ferrous metal processing			12%	6.7%
Non ferrous metal processing			8%	4.1%
Non metal mineral			12%	6.6%
Fuel processing			8%	3.7%
Agricultural product processing			8%	3.0%
Metalware			8%	3.3%
Rubber & plastic			8%	2.2%
Textile			8%	1.9%
Food manufacturing			8%	1.6%
Alcohol			8%	1.5%
Paper			12%	1.3%
Waste recycling			12%	0.6%
Chemical fiber			12%	1.0%
Wood			8%	0.5%
Printing			8%	0.5%
The rest			4%	18.8%
Overall potential manufacturing credit at risk:			8.3%	

Source: NBS, CEIC, PBOC, Morgan Stanley Research

Exhibit 36: NPLs could be digested over a three-year period (Rmb1.46tn/year), which would be Rmb640bn above the 2021-2024 annual pace of digestion

Potential high risk credit to be digested	8.3%
To be digested in:	3 years
Annual digestion	2.8%
Annual digestion since 2021	1.5%
Annual digestion in excess of previous level	1.2%
Total manufacturing related loan size, 2024	52,871
Total annual risk digestion since 2024	1,458
Annual digestion in excess of previous level, bn	642

Source: NBS, NFRA, CEIC, PBOC, Morgan Stanley Research

Exhibit 37:

By Sector: Summary of credit risk assessment

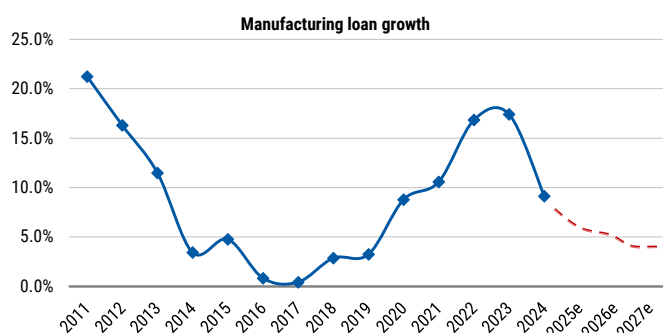
	Step 1: whether EBIT interest coverage is too low?				Step 2: measuring the red flags in different operating metrics																												Step 3: assigning risk categories			
	EBIT interest coverage				Gross margin				Net profit growth				Gap between FAI and nominal IP				Ints. bearing debt growth				Produced goods inventory level - latest quarter vs. prior 36 months				PPI				Asset liabilities ratio				Total red flags	Low risk	Medium risk	High risk
	Avg 2014-2015	2024	Red flag		2015	2024	Red flag		Lower 25% percentile 2013-2022	2024	Red flag		Top 25% percentile 2013-2022	2024	Red flag		2019-2024 CAGR	Red flag		Q115	Q224	Red flag		2024 vs 2023	Red flag		2024	Top 25% percentile 2013-2022	Red flag							
Electronic devices	10.4	25.1	12.8%		12.1%	12.8%			3.8	3.4			2.3	10.2			12.3%				91%	94%			-2.4%			54.5	58.0			4				
Electrical equipment	7.8	24.3	15.3%	14.8%				7.2	(2.0)			(6.8)	4.7			16.3%				92%	84%			-3.1%			60.7	57.6			5					
Auto	12.7	41.7	16.9%	12.4%				0.8	(8.0)			2.5	0.7			9.9%				87%	81%			-2.3%			64.4	59.5			6					
Chemicals	4.9	6.4	14.3%	13.2%				3.2	(8.6)			4.9	5.5			10.4%				93%	80%			-4.2%			54.5	56.6			4					
Ferrous metal processing	2.3	2.0	7.1%	4.6%				(30.1)	(54.6)			7.7	12.6			5.3%				2%	44%			-6.5%			65.3	66.2			4					
Non ferrous metal processing	3.7	8.2	7.6%	7.0%				(6.7)	15.2			3.5	(2.1)			4.1%				94%	89%			6.2%			58.6	63.6			2					
Non metal mineral	6.8	4.2	14.7%	14.8%				3.0	(45.1)			6.0	7.6			11.9%				97%	91%			-6.4%			58.0	54.6			4					
Fuel processing	2.2	(0.2)	20.0%	12.7%				(38.5)	(199.4)			19.7	13.7			5.1%				2%	3%			-4.2%			68.9	66.2			6					
Agricultural product processing	8.3	5.5	11.2%	7.9%				1.1	(0.2)			20.2	8.3			6.8%				68%	56%			-3.9%			61.9	57.4			5					
Metalware	8.1	8.1	13.3%	12.5%				4.3	(2.1)			11.5	9.7			9.4%				98%	88%			-1.8%			57.8	56.5			6					
General equipment	8.4	19.9	15.9%	19.0%				1.2	0.7			12.9	8.5			9.9%				98%	98%			-0.9%			54.4	54.5			3					
Specific equipment	6.7	17.2	15.9%	22.4%				2.4	1.1			10.0	8.2			10.0%				97%	92%			-1.0%			53.8	55.2			3					
Rubber & plastic	8.1	11.5	14.0%	15.8%				3.0	(0.1)			7.7	7.0			8.8%				97%	96%			-2.3%			51.7	50.8			5					
Pharma	11.3	51.2	29.2%	41.8%				10.1	(1.1)			3.8	7.6			9.1%				98%	97%			-0.9%			39.8	41.7			2					
Textile	5.6	5.0	11.0%	11.6%				3.5	3.4			12.3	8.0			6.6%				98%	97%			-1.1%			60.7	56.3			3					
Food manufacturing	12.8	24.8	20.5%	22.0%				6.5	6.3			18.8	7.7			9.9%				97%	97%			-1.3%			52.1	48.9			6					
Alcohol	12.5	199.4	25.1%	37.0%				7.6	7.1			14.5	9.0			9.4%				97%	94%			-0.4%			45.4	44.9			4					
Paper	4.0	3.9	13.7%	12.0%				(6.7)	5.2			13.7	3.2			4.3%				96%	36%			-3.8%			58.2	57.8			4					
Apparel	10.2	16.4	14.5%	15.8%				(4.1)	1.5			17.1	14.7			1.5%				92%	92%			0.1%			53.7	50.1			2					
Entertainment	9.6	13.5	12.6%	13.7%				6.8	4.8			6.6	12.9			5.1%				96%	98%			5.0%			57.4	53.1			3					
Transportation equipment	5.8	73.9	13.7%	16.7%				0.4	21.5			23.9	3.3			0.3%				97%	82%			0.1%			60.4	63.5			1					
Tobacco	78.2	(21.3)	72.8%	70.8%				(3.8)	5.3			(23.4)	(6.2)			-2.0%				96%	92%			0.5%			18.4	25.1			1					
Leather	10.9	18.8	14.1%	14.1%				(1.1)	1.6			11.5	7.1			3.0%				96%	94%			0.9%			57.1	48.1			2					
Waste recycling	10.4	3.3	9.9%	5.5%				(4.3)	11.5			(0.1)	15.9			22.1%				82%	87%			-1.4%			65.0	62.0			5					
Chemical fiber	3.1	3.7	9.7%	8.1%				(8.8)	33.6			(1.0)	13.6			10.1%				44%	57%			-0.4%			62.6	60.5			4					
Wood	11.1	7.4	13.3%	10.5%				(0.8)	(12.3)			9.2	12.5			9.6%				96%	96%			-0.9%			60.8	54.9			4					
Instrumentation	12.0	56.4	20.4%	26.2%				6.3	3.5			(4.8)	5.3			11.4%				98%	84%			-0.9%			46.0	46.8			2					
Printing	10.4	10.5	16.3%	17.1%				(2.9)	(10.4)			15.0	8.7			7.2%				97%	85%			-1.3%			47.8	45.9			4					
Furniture	9.0	11.7	15.7%	17.5%				5.2	(0.1)			8.4	16.6			8.4%				98%	91%			0.1%			60.3	55.8			3					
Other manufacturing	8.6	22.0	14.7%	18.4%				0.2	21.4			(3.4)	8.7			-2.8%				95%	91%			0.3%			51.1	57.0			0					
Repairment	3.4	11.2	15.4%	15.8%				(0.9)	21.5			(18.3)	(4.3)			16.4%				38%	64%			1.5%			50.0	57.6			2					

Source: NBS, CEIC, PBOC, Morgan Stanley Research

China Development Bank loans and fund allocation could help support infrastructure investment and credit demand amid moderating industrial investment

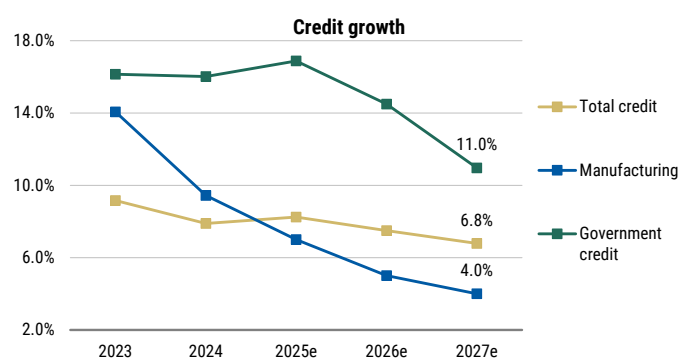
According to our recent discussions with Chinese banks, China Development Bank has initiated a new program, including Rmb500bn in loans for city upgrades and Rmb500bn that could be used as equity by local governments for infrastructure investment projects. This, along with higher government bond issuance, should help support infra investments and related credit demand while industrial investment growth slows, which should allow for a relatively smooth industrial overcapacity and industrial credit risk digestion process.

Exhibit 38: We expect manufacturing loan growth to moderate further to ~4% in 2027e



Source: NFRA, CEIC, Morgan Stanley Research (e) estimates

Exhibit 39: Infra and government credit to support credit growth



Source: CEIC, PBOC, NFRA, China Trust Association, Wind, Morgan Stanley Research (e) estimates

We see good opportunities in China Financials as we expect risks to be digested gradually and financial assets yields to stabilize

We see relatively stable credit costs at banks, as we expect smooth credit risk digestion over the next 3-4 years with more room from moderating NPL formation from property

loans.

We also expect loan yields to stabilize as reduced window guidance on loan growth and rates and tighter liquidity at more manufacturing firms should support loan and financial asset yields over time. We assume a more stable financial assets yield, which would support NIM for banks in coming years given our view that the financial system cycle has bottomed, and we think whether LPR will be cut or not will be a catalyst.

Implications for the China Financials sector

Base case: We expect more stable bank NIM with stabilizing asset yields, and a smooth risk digest process in a more market-oriented manner, especially amid a financial system cycle bottom. We expect credit growth to moderate to ~6.8% in 2027e amid slower industrial credit growth, supported by government and infra credit.

Bull case: A bull case for financials would be more market-oriented credit allocation and financial asset pricing to drive overcapacity reduction and high risk industrial credit digestion without further demand-side stimulus. This would drive a 50-70 bps rebound in loan and financial asset yields, and support banks' NIMs, where we would see double-digit revenue and profit growth.

Bear case: We see elevating credit risks at banks in the short-term if administrative measures are used to control capacity as industrial profitability would be further depressed with a sharper decline in industrial demand in the short term. Banks NIM and loan growth could also moderate in this case.

Potential stock beneficiaries: We think quality, mid-sized banks will benefit most from market-oriented competition. **Bank of Ningbo** remains our Top Pick, and we see higher potential for a revenue and profit rebound at **Minsheng**, **Citic Bank**, **Industrial Bank** and **SPDB**. While we expect a slower rebound in revenue and profit growth in major SOE banks, we continue to see 5.3%-5.8% dividend yield at **BOC-H**, **ICBC-H** and **CCB-H** as attractive and see steady upside over the next 12 months.

Basic Materials: More complex and less potent than supply side reform 1.0; upstream to lead impact

Rachel Zhang, Hannah Yang, Chris Jiang, Davven Xu

Anti-involution appears broader than the last supply side reform, but upstream will likely see a faster impact: With ongoing news flow, China's anti-involution campaign remains top of investors' minds, and parallels are being drawn between anti-involution and supply-side reform 1.0 (2015-18). Following the July 1 Central Financial and Economic Affairs Commission meeting, most industrial regulators (MIIT, NDRC, SAMR) and industry self-disciplinary associations have held consultation meetings and/or voiced high-level proposals to regulate excessive competition. We think the challenges are now vastly different from 2015-18, with different industrial landscapes and a fundamentally more difficult macro environment (see [note](#)). That said, we expect upstream to more likely to see an impact, and faster. **Within basic materials, our anti-involution ranking order are: Steel>Cement>Solar Glass>Float Glass>Coal>Lithium.**

Equities to benefit from the Anti-Involution theme: Anhui Conch, CNBM, Baosteel, Flat, Xinyi Solar, Shenhua, China Coal, Yankuang, BNBK, and Oriental Yuhong.

Related reports:

[China Materials: Anti-Involution - How Real Is It? \(8 Aug 2025\)](#)

[Greater China Materials: Fundamentals diverge for glass; raising bull cases on potential anti-involution \(11 Aug 2025\)](#)

[China Coal: Selective amid a structural downturn \(2 Sept 2025\)](#)

Exhibit 40: China Basic Materials: Earnings growth and ROE forecast (2025-27E); key stock beneficiaries

Basic Materials	Base case		
	2025E	2026E	2027E
Earnings growth	26.3%	10.9%	5.3%
ROE	5.6%	6.0%	6.2%
Key stock beneficiaries	Anhui Conch, CNBM, Baosteel, Flat, Xinyi Solar, Shenhua, China Coal, Yankuang, BNBK, Oriental Yuhong		

Source: Morgan Stanley Research.

Cement: Cement was the first industry to carry out "supply reform/anti-involution" policies. In October 2024, the Ministry of Industry and Information Technology (MIIT) issued the "Implementation Measures for Capacity Swap in the Cement and Glass Industry (2024 Edition)", which has stricter requirements on cement capacity eligible for swaps and cross-province swaps. Moreover, cement companies are required to conduct capacity swap by 2025-end to make up for its overproducing capacity (~20% overproduction from industry level). As of mid-June, the cement industry had realized a net capacity exit of

20.98mnt clinker YTD (total exit of 44.37mnt swap for 23.39mnt new capacity).

On July 18, 2025, MIIT also said it would soon release new work plans for stabilizing growth in 10 key industries including steel, nonferrous, and building materials, focusing on industry structure adjustment, supply improvement and phasing out outdated capacity.

Under the current top-down anti-involution background, we expect marginally better implementation of capacity swaps for overproduction capacity, better subsequent compliance with the approved capacity, and also better industry discipline for off-peak production suspension, which should all lead to better industry profitability. Meanwhile, we don't expect incremental strong supply-side policies to completely change the oversupply of cement industry.

Steel: Although never officially issued as a policy, the ~30mnt cut target has been dispatched to steel mills in multiple provinces. In 1H25, ~12mnt production cut was realized, according to NBS statistics, though this seems to a bit more than 3rd party data indicate. Looking into year-end, the top leadership's emphasis on anti-involution makes us more confident on the efforts to realize this production cut target, which should support the further expansion of steel mills' margin. In addition, we think a further production cut target is also likely to be set for next year, to in-line with the fall in demand from both domestically and from overseas markets. Longer term, MIIT had previously set a target that 80%+ steel capacity should reach ultra-low emissions by 2027 (vs. ~60% in July 2025), which might be further emphasized and formulated in more detail in the coming new work plans for the steel industry, and should also gradually help phase out outdated capacity.

Coal: National Energy Administration issued a notice on initiating coal overproduction check in mid-July. The inspection will cover 8 major coal producing provinces including Shanxi, Shaanxi, Inner Mongolia, Xinjiang, Anhui, Henan, Guizhou, and Ningxia. The main areas of investigation are: 1) whether 2024 and YTD 2025 production exceeded designed capacity by 10%; 2) whether coal companies have ordered the coal mines to produce more than the designed capacity; and 3) whether coal mines have set unreasonable targets relating to quarterly and monthly production. As coal was one of the major industries in last round of supply-side reform, investors think this may imply the start of second round supply side controls and lead to lower supply. However, we think the overall impact should be minor as >70% of the coal capacity in China is owned by SOEs, which all produce within designed capacities. Meanwhile, willingness to overproduce is low given the subdued prices for both thermal and coking coal in 1H25. However, the ongoing safety and environmental inspections may remain a disruption factor for coal production in domestic market.

Glass: Float glass was one of the industries that carried out supply side reform in 2016-2017 when the new capacity increase was strictly banned by the government. Currently, we think the possibility for a new round of supply side policy for both float and solar glass is low as basically all the production lines have reached the standard requirement on energy consumption and environment protection. We think capacity shut downs or exits should more rely on industry self-discipline. If anti-involution really happens in glass, we think it will mainly be through higher requirements on energy consumption standards, which would likely remove some smaller capacities from the market and drag down overall supply.

Lithium: Recent tightened enforcement of mining regulations caused some (potential) disruptions in lithium production. This includes suspension of [Zangge Mining's](#) Qarhan brine project in Qinghai (11kt LCE/yr) for lack of inclusion of lithium minerals in its mining license, and suspension risks of [lepidolite mines](#) in Yichun (~150kt LCE/yr) for similar reasons, while the large Jianxiawo mine was halted on Aug. 9, when its mining license was due. We don't think this is part of the top-down anti-involution efforts, but more of a timing coincidence, as lithium being a global commodity should not be a major target of anti-involution, and curtailing of Chinese supply does not help Chinese lithium producers much. Nonetheless, these (potential) production disruptions do have similar impacts with anti-involution to tighten supply and support lithium price hikes in the short term.

Other sectors that may also be in anti-involution discussions are glass fiber and carbon fiber. Those two industries are highly concentrated with the top 5 companies accounting for >85% of the industry capacities and SOE accounts for 80% and 70% of the total capacities, respectively. Both industries are in oversupply, especially for carbon fiber, where the whole industry has been loss-making since 2024. If the anti-involution is really implemented here, we think those two industries would be a major beneficiary as well.

Implications for the materials sector

Base case: Gradual production cut and consolidation amid coordination by government and self-discipline. We expect industry average (cement, steel, glass) net profit to grow at 26.3%/10.9%/5.3% YoY during 2025-27, respectively, and ROE to reach 5.6%/6.0%/6.2%.

Bull case: Faster structural reforms on local government incentives to slow investment and induce capacity exits. We expect industry average (cement, steel, glass) net profit to grow at 28.3%/15.9%/10.3% YoY during 2025-27, respectively, and ROE to reach 6.6%/7.0%/7.2%.

Bear case: Administrative capacity cuts; arbitrary restrictions and controls on quota and pricing. We expect industry average (cement, steel, glass) net profit to grow at 24.3%/5.9%/0.3% YoY during 2025-27, respectively, and ROE to reach 4.6%/5.0%/5.2%.

Key beneficiaries: Against the anti-involution backdrop, we expect **Anhui Conch** and **CNBM** to be key beneficiaries of cement industry's marginally improved supply-demand balance; and **Baosteel** to see margin expansion under tightened steel supply, and realize further growth from market consolidation in the long-term. Other beneficiaries include **Flat Glass**, **Xinyi Solar**, **Shenhua**, **China Coal**, **Yankuang**, **BNBM**, and **Oriental Yuhong**.

Solar: Positive signals are on the rise; While decent profitability recovery is unlikely amid soft global demand

Eva Hou, Albert Li, Estelle Wang, Evan Chen

Solar industry at the frontline of anti-involution campaign. The crackdown on industrial involution has risen to become a strategic national priority. Among all industries, solar has become one of the most focused on, having faced aggressive price competition resulting from severe overcapacity. Dynamics in this sector worsened in 1H25 with the average polysilicon utilization rate falling to 39~44% from 61% in 2024, accompanied by price falls across the supply chain with polysilicon/wafer/cell/module dropping by over 10%/22%/15%/1.5% yoy in 1H25, respectively, and a total of 31 leading listed solar names along the major value chain collectively made an Rmb12.6bn net loss in 1Q25, widening 274.3% yoy, and losses widened further in 2Q25.

Government officials are now deploying multiple measures to tackle the problem, including setting price floors and encouraging industry consolidation. We see reasonable likelihood that the excess capacity phase-outs for polysilicon will be resolved under these measures, but consolidation would require multiple rounds of negotiation before finalization in order to address the interests of acquiree and regional governments, and governmental support on leverage to fund any acquisitions.

We think that industry consolidation will be achieved in a more commercial and market-oriented way, with moderate government guidance, rather than government and policy dominating intervention. We believe that solar's main value chain's (polysilicon, wafer, cell and module) recovery pace and magnitude will largely hinge on consolidation progress in the upstream polysilicon segments.

As a result, we forecast the polysilicon price will gradually recover to Rmb47/50/55/60 per kg in 1H26/2H26/1H27/2H27, respectively, under our base case scenario. We do not expect a substantial polysilicon price recovery, as China will likely still retain 2,000kt or ~1,000GW capacity after consolidation, compared to <800GW global module demand in 2026/27e.

We forecast module pricing will recover to Rmb0.70/w in 4Q25 vs. the current Rmb0.67/w, and Rmb0.72/w in 2026 and Rmb0.78/w in 2027, under our base case scenario. We also expect the gross margin of integrated module players will moderately turn around to 2% in 2026 and 11% in 2027, compared to -7% in 2025.

Related reports:

[Global Solar: China's Anti-Involution: Implications for the Global Solar Value Chain \(2 Sept 2025\)](#)

[China – Solar: Another Government Meeting to Curb Solar Involution \(19 Aug 2025\)](#)

[China Solar: Our thoughts on the recent share price rally \(9 Jul 2025\)](#)

Exhibit 41: China Solar: Earnings growth and ROE forecasts (2025-30E); key stock beneficiaries

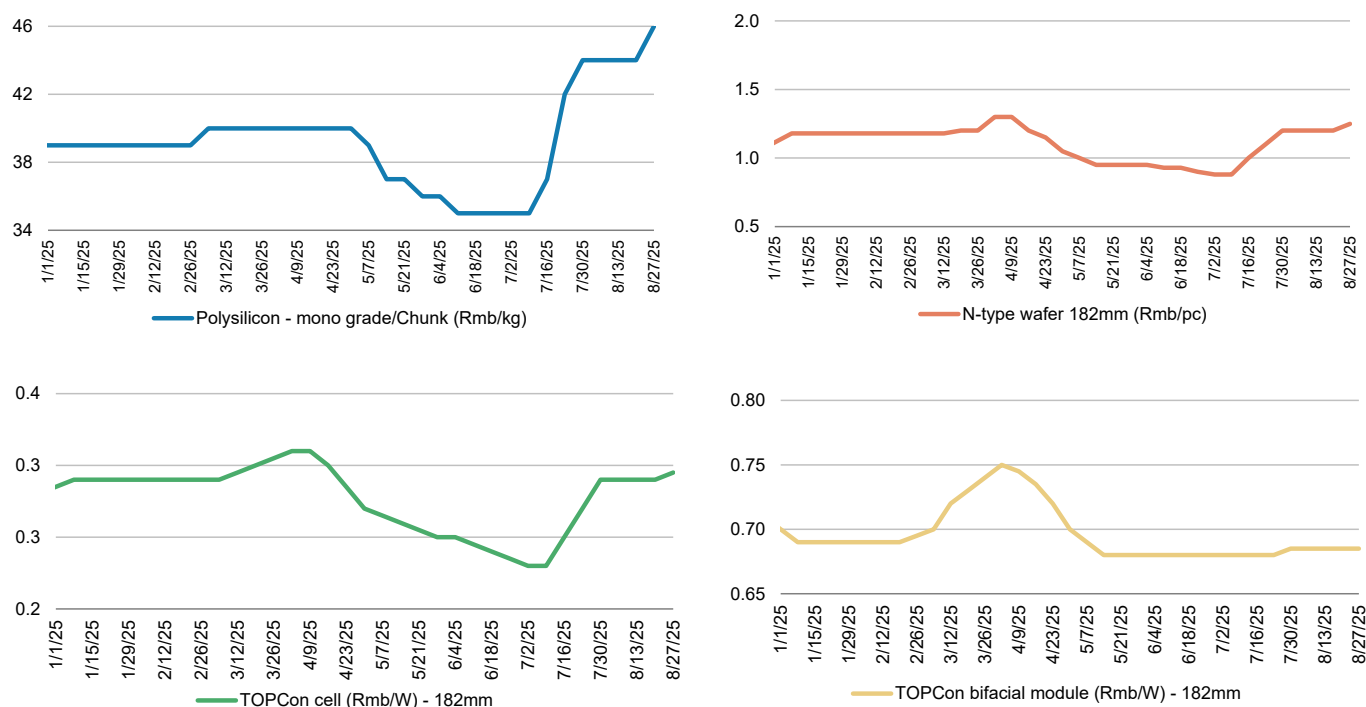
Solar	Base case		
	2025E	2026E	2027E
Earnings growth	Loss making	Loss narrowed	Mild Profit
ROE	-13.1%	-7.2%	2.8%
Key stock beneficiaries	NA		

Source: Morgan Stanley Research (E) estimates.

Price recovery amid regulation amendment, but uncertain about the pass-through for solar modules

In July 2025, the Price Department of National Development and Reform Commission (NDRC) released an edited pricing regulation draft detailing that enterprises across all industries should not dump their products below production cost, which would be viewed as illegal if violated. We see the central government's anti-involution stance as escalating the issue of solar product prices to a higher level of concern.

Prices in the solar industry recovered meaningfully afterwards, with polysilicon prices rebounding 31.4% since July ([Solar Products Price Tracker – Week 35, 2025](#)), followed by wafer and cell with 33.3%~42.0% and 18.4% ~28.3 increases for the same period, respectively. However, the rebound has not been reflected in solar module prices yet. We note that TOPCon module prices went up by only 0% to 3% during July-Aug 2025, as downstream power plants have been reluctant to digest the pass-through, given limited pricing power on less industry concentration in the solar module segment and uncertainty over IRR amid sluggish demand. We attribute the weak demand mainly due to uncertain power tariffs after the policy nodes of market tariff reform as of May 31st ([Quick Thoughts on the New Policy on Renewable Power Market Reform](#)), and also rising curtailment rates in certain regions.

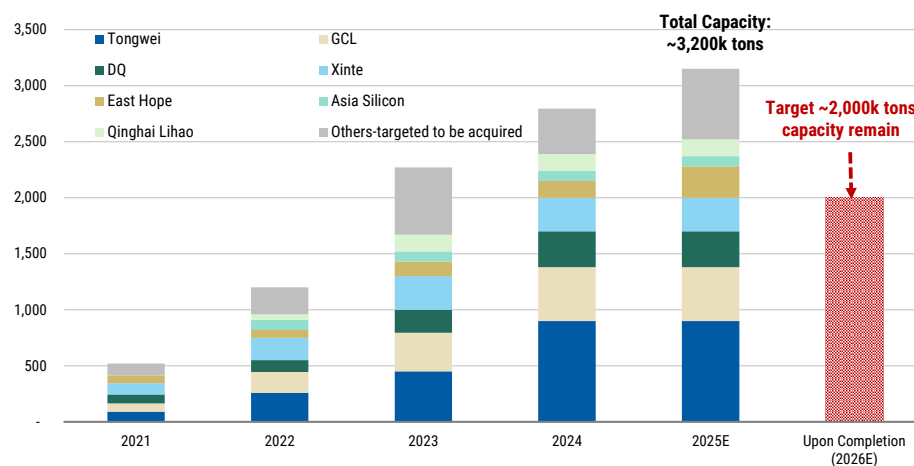
Exhibit 42: Prices rebounded across the solar value chain post-NDRC's drafted pricing regulation, yet module prices remain modest

Source: PVInfoLink, Morgan Stanley Research (price data as of Aug. 13, 2025; all prices are tax included)

Industry consolidation of polysilicon proposed; extensive negotiations still required but we see moderate likelihood of it happening

The polysilicon industry has reached a critical juncture where market consolidation is urgently required to address the severe overcapacity and persistent losses. In 1H25, the average polysilicon utilization rate fell further to 39~44% from 61% in 2024. Recognizing this issue, Tongwei led an industry-wide acquisition proposal for supply reform, with a certain number of polysilicon producers (TBC) to establish a joint industry acquisition fund (modeled in a similar way as OPEC), to acquire other small- and mid-sized polysilicon players for industry consolidation, as well as excess inventory.

Exhibit 43: China's polysilicon industry targeting to retain ~2,000k tons of capacity (equivalent to ~1,000GW), while phasing out the rest of the operating capacity in the medium term



Source: Company data, Morgan Stanley Research (E) estimates

Stricter energy consumption standards to phase out outdated capacity directly

Polysilicon energy consumption standards are also set to tighten, which will help phase out obsolete capacity. Authorities are now revising China's national energy consumption standards for polysilicon with stricter benchmarks, according to the National Engineering Laboratory for Polysilicon Preparation Technology. Under the proposal (we assume a conversion rate at 0.123g/kWh), Grade 1/2/3 polysilicon must limit power consumption equivalent to or below 41kWh/kg, 49kWh/kg, and 61kWh/kg, respectively (compared to the current benchmark of ≤61, 69, and 85kWh/kg).

The proposed draft is much stricter than the latest revised energy consumption standards for polysilicon/wafer/cell, released by MIIT in November 2024 ([MIIT released official standards for the solar manufacturing industry](#)), which only required new and expanded polysilicon facilities to attain a range of 53kWh/kg to 57kWh/kg, while still mandating 60kWh/kg for existing facilities.

Following the proposed revision, the MIIT issued a notice of supervision on energy consumption for 41 polysilicon producers on Aug. 1, 2025. This dovetails with the upcoming revision of energy consumption policy to constrain and eliminate outdated inventory and capacity, in our view.

Implications for the solar sector

We expect polysilicon prices will stabilise at Rmb45/kg though the end of the year after a prolonged downturn since 2H23. The recovery pace and magnitude for the rest of the solar value chain largely hinges on the progress of polysilicon industry consolidation, and further policy intervention and actual execution. We highlight our scenario analysis amid this context below:

- Base case: We expect China's polysilicon industry to start to consolidate from 1H26, and polysilicon price to moderately rebound from 2H26. We expect the solar

main value chain to become more stable in 2H26 and 2027, with a more consolidated market and stable industry demand, allowing most industry players to achieve break-even in 2H26 and turn profitable in 2027.

- Bull case: Faster consolidation of the polysilicon industry from 4Q25, and demand growth in 2027 could drive stronger performance across the supply chain. As market share reaches a healthier balance and intense price competition fades, we could see more robust growth beginning in 2027. We expect the integrated module players will become meaningfully profitable from 2H26.
- Bear case: In a less favorable scenario, the polysilicon industry consolidation is delayed and there is a slower-than-expected ASP recovery, as a result the solar value chain remains fragmented, and competition lingers for longer, delaying recovery across the supply chain. Integrated module players don't start to earn a meaningful profit until 2H27 at the earliest.

China Auto: Competition easing but not over yet

Tim Hsiao, Shelley Wang, Joey Xu, Stanley Wang, Peggy Wang

Competition in the auto sector is beginning to ease, with narrower discounts and more disciplined pricing strategies. However, pressure on sales and profitability are likely to persist until the market consolidates, with meaningful improvements expected over the next 1-2 years. Ahead of this inflection point, we believe larger OEMs and their auto parts suppliers remain the strong investment choices.

Top picks within the anti-involution theme: Geely, Li Auto, XPeng, Chang'an, SAIC, GAC, Foryou, Bethel, and Desay.

Related reports:

[China Autos & Shared Mobility: July EV prices stabilized amid anti-involution campaign \(11 Aug 2025\)](#)

[China Autos & Shared Mobility: Ceasefire in the latest price competition? \(5 Jun 2025\)](#)

[China Autos & Shared Mobility: Chinese carmakers pledge to shorten payment cycle - happily ever after? \(11 Jun 2025\)](#)

Exhibit 44: China Autos: Earnings growth and ROE forecasts (2025-30E); key stock beneficiaries

Auto	Base case		
	2025E	2026E	2027E
Earnings growth	13.9%	19.2%	14.5%
ROE	11.4%	13.3%	14.3%
Key stock beneficiaries	Geely, Li Auto, Xpeng, Chang'an, SAIC, GAC, Foryou, Bethel, Desay		

Source: Morgan Stanley Research (E) estimates.

Stronger regulatory oversight in response to price competition

On July 16, the State Council underscored stricter oversight of pricing and account payable terms in China's NEV industry, following a July 1 comment by the Central Financial and Economic Affairs Commission to regulate disorderly auto price competition. This intervention stems from mounting pressure since May, when BYD triggered aggressive price cuts across its mass-market lineup, prompting other OEMs to follow suit. At the same time, the emergence of "zero-mileage" second-hand vehicles drew further scrutiny. Regulators have since warned EV makers against excessive discounting and "zero-mileage" promotions, encouraging a shift away from destructive price wars and toward technology-based competition.

Looking ahead, the government is expected to back these warnings with stricter enforcement:

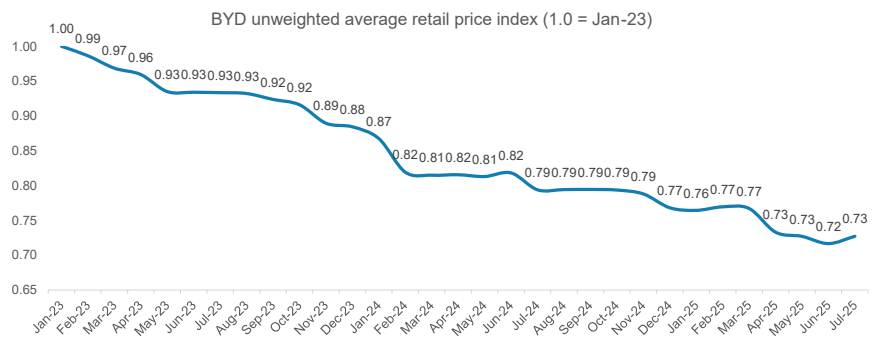
- From June 1, companies must comply with a 60-day payment regulation requiring

settlement with suppliers within two months, easing cash-flow pressure across the supply chain. Enforcement may involve periodic inspections and fines.

- Starting October 15, the new Anti-Unfair Competition Law will further restrict firms from exploiting market dominance through unfair pricing or payment terms, with violations potentially subject to penalties.

Positive signals but still a long way to go

Exhibit 45: BYD blended retail prices recovered 1.5% MoM in July



Source: CPCA, Morgan Stanley Research

Since the anti-involution campaign kicked off, we have observed retail discounts narrowed for BYD and Geely. Meanwhile, retail prices for Li Auto/XPeng stabilized ahead of key model launches.

While OEMs will remain cautious about publicly announcing large discounts, we believe they are likely to adjust prices through the launch of new series or facelifts. At the same time, indirect means, such as giveaways, extended warranties, or lower-spec budget EV models, could be used to drive sales.

As the market reaches a high base, OEMs will face pressure to sustain sales and profit. Given this, pricing discounts will likely continue to be an overhang and OEMs may still delay actual cash payments or request supplier-side discounts to preserve their own margins. This suggests that, as long as competition among OEMs persists, suppliers may need to comply with the requests to secure orders.

That said, we think the policy signals are strong and the overall industry may stabilize in the next 1~2 years as major players gradually dominate the market. By then, parts suppliers could benefit from shorter payment cycles, leading to improving A/R days and lowering provision costs.

Implications for the auto sector

Given the market landscape, we prefer scale OEMs with stronger financial capabilities to withstand the ups and downs before the dust settles. Meanwhile, auto parts suppliers with higher exposure to Chinese OEMs may see more meaningful improvement as the industry approaches the end of the tunnel. **Our preferred picks include Geely, Li Auto, XPeng, Chang'an, SAIC, GAC, Foryou, Bethel, and Desay.**

Base case: We expect the auto market to become more stable in 2026/2027, as market

share becomes more consolidated and the majority of EV players turn profitable. OEM earnings are likely to return to positive growth, supported by rising penetration of EV, easing price competition and increased operating leverage from consolidation. For auto parts suppliers, while most already show positive earnings, earnings growth may decelerate year by year. We expect industry average net profit to grow at 13.9%/19.2%/14.5% YoY during 2025-27, respectively, and ROE to reach 11.4%/13.3%/14.3%.

Bull case: Faster progress toward market equilibrium could drive stronger performance across the supply chain. As market share reaches a healthier balance and intense price competition fades, we could see more robust growth beginning in 2026/2027. We expect industry average net profit to grow at 13.9%/20.2%/16.5% YoY during 2025-27, respectively, and ROE to reach 11.4%/13.4%/14.5%.

Bear case: In a less favorable scenario, the auto market remains fragmented, and competition lingers longer, delaying recovery across the supply chain. We expect industry average net profit to grow at 13.9%/19.2%/12.5% YoY during 2025-27, respectively, and ROE to reach 11.4%/13.3%/14.0%.

Energy: Anti-involution targets aging capacity, benefits refiners

Jack Lu, Kaylee Xu, Yiyi Wang

Our anti-involution base case for domestic refining and chemical sector is to target >20 years old capacities. Under such scenario, we think domestic and regional refineries are going to benefit more. As for chemicals, we think simply targeting >20 years old capacity can benefit products like herbicides, dyes and PVC. But for ethylene, curbing new capacity expansion is key, in our view, as we still see a long pipeline for the next four years. **Key stock beneficiaries:** Sinopec, PetroChina

Related reports:

[China Refining & Chemicals: Anti-Involution: Pathways, Exposure, and Who Benefits/Suffers \(21 Jul 2025\)](#)

[Energy & Chemicals: China Anti-involution: Implications for Global Energy and Chemicals \(28 Jul 2025\)](#)

[China Chemicals: Anti-involution measures can be released soon but likely no surprises \(20 Aug 2025\)](#)

Exhibit 46: China Energy: Earnings growth and ROE forecasts (2025-30E); key stock beneficiaries

Energy	Base case		
	2025E	2026E	2027E
Earnings growth	-14.9%	1.1%	9.8%
ROE	9.6%	9.1%	9.4%

Key stock beneficiaries Sinopec, Petro China

Source: Morgan Stanley Research (E) estimates.

Anti-Involution – what has been done so far? ICIS has reported that according to a recent notice issued by the NDRC, MEE, MIIT and two other central government authorities, local governments will gather information on petrochemical facilities that are >20 years old, as of 30 May 2025. We think this marks the beginning of potential anti-involution measures. That being said, we have not yet seen any indication to curb new capacity buildups, which we think is equally important in this round of supply side reform.

What's the likely plan and timing? We think the likely plan for anti-involution is to force old capacities (> 20 years old) to close and upgrade, and this will be an ongoing process for the next 2-4 years. As for new capacity buildups, as there are many new projects that have obtained relevant approvals in the chemical sector, we think a complete ban in new capacity built may be hard to achieve in the near term. We discussed this in more detail in [China Anti-involution: Implications for Global Energy and Chemicals](#) and [Anti-Involution: Pathways, Exposure, and Who Benefits/Suffers](#).

Exhibit 47: Potential pathways for anti-involution in the refining and chemical space

		% of China's existing capacity affected		Effectiveness		Who benefits		Who suffers	
		Refining	Chemicals	Refining	Chemicals	Refining	Chemicals	Refining	Chemicals
Pathway 1	Force old capacity to close (Capacity >20 years old)	25%	14%	Very effective	Effective	SOEs and mega-independents	Private chems	Teapot refineries	SOEs
Pathway 2	Force old capacity to upgrade (Capacity >20 years old)	25%	14%	Very effective	Mild	SOEs and mega-independents	Private chems	Teapot refineries	SOEs
Pathway 3	Prohibit new capacity additions	N/A	N/A	Mild	Very effective	Every existing player	Every existing player	New entrants	SOEs and other new entrants

Note: Chemicals capacities measured using ethylene; exposure differs for each product.

Source: Company data, Morgan Stanley research estimates

Note: Chemicals capacities measured using ethylene; exposure differs for each product.

We prefer refiners to chemical players as we think consolidation and renationalisation of the domestic refining industry has more hope in the near term.

~3mbpd of tea-pot refiner capacity (16% of China's total) could be eliminated from market due to China's anti-involution measures over the next few years, alongside environmental/taxation tightening ahead. The last group of global refiners – China's loss-making plants, will likely see improving utilization and GRM expansion with industry consolidation by SOE. China's anti-involution, if implemented here, will likely be a key re-rating catalyst for oil refiners and retailers in Asia, and potentially the EU/US.

Naphtha crackers may need more regulatory support, i.e., suspension of new projects at an early stage in China, before a meaningful global recovery. We note that many new projects planned in 2025-28 have obtained relevant approvals from the local governments. The latest good news is that future projects for some products will be subject to Beijing's approval, and local governments will no longer have the rights.

Price hikes in chemicals? Some global chemical sub-sectors including herbicides, dyes and PVC often saw price hikes resulting from China's environmental tightening historically, since China's capacities are typically 20-40% of global capacities for those chemical products. We think the focus of anti-involution now should be in >20 years old capacities – these capacities have a higher probability of being forced to close or upgrade.

Exhibit 48: Chemical sub-segments' landscape snapshot

Products	Related Companies	Exposure to old capacities (>20 years old)	Level of Consolidation in China	Peak GPM	2024 GPM
PVC	 中泰化学 ZHONGTAI CHEMICAL  新疆天业 XINJIANG TIANYE  北元集团 BEIYUAN GROUP  WANHUA	High	Low	25%-35%	~ 5%
Agrichem	 扬农集团 YANGNONG GROUP  ADAMA	High	Medium	~28%	~22%
Dyes	 闰土股份 RUNTU  Lonsen 龙盛集团	High	Medium-High	30%-40%	15%-25%
TiO2	 龙佰集团 LB GROUP	Medium-High	Medium-High	~40%	23%
Ethylene	 SINOPEC 中国石化  PetroChina  RONGSHENG	Medium	Low	15%	0%
TDI	 WANHUA  沧州大化 CANGZHOU DAHUA	Medium-Low	High	60%	3%-5%
MDI	 WANHUA	Low	High	50%	24%
Nutrition	 ADISSEO A Bluestar Company  NHU 新和成	Low	High	58%	43%

Source: Company data, Morgan Stanley Research

Key beneficiaries. We think China's anti-involution marks the start of Refining Golden Age, with up to \$3.5/bbl GRM expansion across regions over the next two years, in our view.

Key beneficiaries are Sinopec, PetroChina.

Base case: As we're already half way through 2025 and we do not expect immediate improvement in refining and chemicals (we don't expect all closures be completed within 2025). We think 2025 earnings will still decline due to the trade tension. For chemicals, we expect fundamental to see a small and slow recovery of earnings and ROE to 5% in 2027 and onwards, but given the long capacity pipeline, we think a significant recovery is not very likely. For refining, we think ROE may improve in 2026.

Bear case: For chemicals, we assume margin to continue to deteriorate because new capacities will continue to be built and started up. In this case, we think earnings can keep going down and eventually lead to a negative ROE in 2027. A slow recovery is expected in 2029 and onwards. For refining, the bear case is also for earnings and ROE to continue to decline from 2024/25 levels as refined oil demand could drop faster than expected.

Bull case: For chemicals, we assume there will be bans for new capacity buildup. This will drive earnings and ROE recovery very quickly. Under this case, we think ROE of most chemical companies can recovery to 15% in 2027, slightly below the 2021 peak level. We also think this ROE level can be sustained. For refining, we also assume the refining margin can recover to 2021's level.

Transportation: China Express – consolidation the only path forward; China Airlines – high urgency, fewer potential hurdles, but slow progress

Qianlei Fan, Tenny Song, Carlos Liu

We see different "anti-involution" outcomes among our sub-sectors. For China express, we see some mild price hikes in selected regions but we think that will not change competition strategy for leading players and industry consolidation remains the trend. However, we do note regulators could help encourage industry consolidation, which could turn out to be a bull case in this segment's "anti-involution" case.

For Chinese airlines, although no detailed plan was announced, there have been discussions among individual airlines and regulators. We think airlines' anti-involution could see fewer hurdles vs. some other industries considering limited oversupply and better execution, and we believe anti-involution is necessary for Chinese airlines given intensified competition, depressed pricing as well as the sustained earnings pressure for the industry.

Key stock beneficiaries: ZTO, YTO, Air China-H, CEA-H, CSA-H, Spring Airlines

Related reports:

[China Express: Regulator's Attention on Over-Competition - Our Thoughts \(10 Jul 2025\)](#)

[Chinese Airlines: 'Anti-Involution': Why and How \(24 Jul 2025\)](#)

[China Express: Tracking Consolidation, Ep.3: Earnings Trim and "Anti-Involution" \(24 Jul 2025\)](#)

[China Transportation: Express Delivery and Airlines - 'Anti-Involution': Market Feedback \(27 Jul 2025\)](#)

[China Express: "Anti-Involution": Update #4 \(17 Aug 2025\)](#)

Exhibit 49: China Transportation: Earnings growth and ROE forecast (2025-30E); key stock beneficiaries

Transportation	Base case		
	2025E	2026E	2027E
Earnings growth	-2.4%	3.6%	6.4%
ROE	8.9%	10.0%	10.4%
Key stock beneficiaries	ZTO, YTO, Air China-H, CEA -H, CSA - H, Spring airlines		

Source: Morgan Stanley Research (e) estimates.

China Express

Where we are in anti-involution

On July 8, the State Post Bureau hosted a meeting and discussed topics related to anti-over-competition and service quality, among others. Afterwards, we gradually heard news about pricing hike plans at selected regions. As of early August, we see [price hikes being executed in Guangdong](#) province, and potential price hike plans under discussions in Yiwu and Fujian.

Over-supply remains the major hurdle to anti-involution, and any pricing or market share control could only lead to deteriorated competition in the long run, according to managements of couriers. Some managements we talked to think industry M&A could be a potential solution to the oversupply but they also see many hurdles.

The "involution" in express delivery is painful but may be the only solution for the segment, eliminating low-efficiency capacities. Possible price hikes in Yiwu and Guangdong may not indicate any national level competition strategy change for leading players, or their ambition to take share. Pricing adjustments are unlikely to disrupt industry consolidation, we think.

Our thoughts on potential scenarios of China express anti-involution

- **Base case:** We think the base case remains for some mild price hikes in selected regions, which could alleviate risks from small players' network disruption, while industry consolidation remains the trend. In such a scenario, we prefer leading players ZTO and YTO. We expect industry average net profit to grow at 0.5%/11.2%/10.9% YoY during 2025-27, respectively, and ROE to reach 11.4%/11.8%/12.3%, in our base case.
- **Bear case:** We see a mild probability to a bear case, that "campaign-style" price hikes are required at a national level. We think smaller players, such as STO, Yunda, and J&T, could benefit more in terms of earnings upsides in our bear case. We estimate unit profit for Tongdas and J&T to grow Rmb0.01 from a base case level in 2025 thanks to price hikes, but the competitive landscape would likely deteriorate in the long run, which would drive unit profit to drop by Rmb0.02 for 2025-26. We expect industry average net profit to grow at +30%/-3%/-9% YoY, respectively, during 2025-27, and ROE to reach 12.4%/11.1%/9.9%.
- **Bull case:** We also see a stronger probability of a bull case, that industry M&As are encouraged by regulators. In this case, we think all players could see re-rating while leading players could turn out to be ultimate winners. We estimate unit profit would remain unchanged vs. base case in 2025, but would grow by Rmb0.03 for leading players ZTO and YTO in 2026-27. Industry average profit grows at 20%/19%/19%, respectively, for 2025-27, and ROE reaches 11.4%/12.7%/14.2%.

Chinese airlines

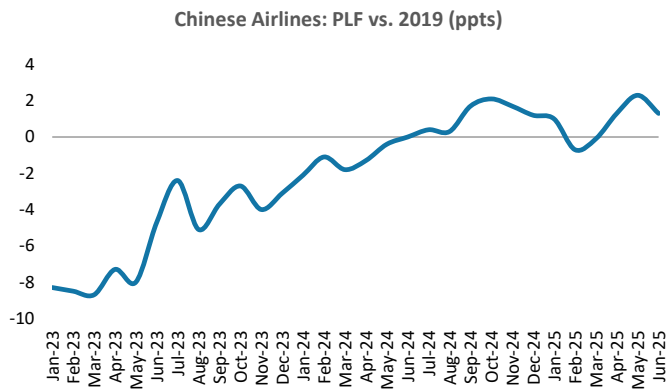
Where we are in anti-involution

On July 22, 2025, the National Civil Aviation Mid-Year Work Conference was held in Beijing. Anti-involution was included in the list of key tasks for the second half of 2025.

Although no detailed framework was announced from the regulator, there have been discussions held internally by airlines, as well as conversations between regulators and airlines, as far as we know, on anti-involution actions. There are also self-help initiatives from the industry to help regain pricing power, such as establishment of a [consolidated direct sales platform for Chinese airlines](#), and some experimental efforts from individual airlines to hike prices.

We think airline anti-involution could see fewer hurdles vs. some other industries considering: 1) limited oversupply – load factors are above historical levels considering seasonality; and 2) better execution of regulators' requirements vs. segments dominated by non-SOEs.

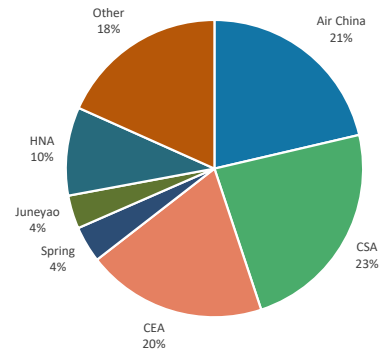
Exhibit 50: PLF has been above pre-Covid level at the industry level



Source: CAAC, Morgan Stanley Research

Exhibit 51: Big Three airlines have ~65% of market share

Chinese airlines market share by RPK in 1H25



Source: CAAC, Company data, Morgan Stanley Research

Possible solutions to the "involution"

We see three possible solutions to involution: 1) pricing controls; 2) supply reduction; or 3) demand boost, as noted in our idea report published on July 24 (see [Chinese Airlines: 'Anti-Involution': Why and How \[24 Jul 2025\]](#)), and airlines' managements we talked to thought the demand boost appear to be the most sustainable option.

Regulators' coordination is important

We think anti-involution is needed given Chinese airlines have been loss-making over the past five years despite a profitable global airlines universe, and a [weaker-than-expected summer peak](#) brings risks to full-year profitability if demand remains soft. However, we do note that pricing hikes could be a double edged sword given that travellers are extremely sensitive to pricing amid macro headwinds. The airlines we talked to also mentioned that any anti-involution actions need to be coordinated by regulators to avoid risks from a "prisoner's dilemma" situation (read more market feedback [here](#)).

Implications for airlines' earnings:

Airlines earnings are highly sensitive to pricing given robust load factors; we estimate every 1% pax yield hike could lead to an additional ~Rmb1.5-1.8bn pre-tax profit for Big Three in 2025-2027 on average.

- In our **base case**, we expect a flat or minor YoY decline in Big Three airlines' pax yield in 2025, and expect pax yield to rise by 2% YoY p.a. in 2026 and 2027 given healthy demand and relatively tight supply amid global supply chain disruption. Average ROE of the Big Three improves to 19% and 22% in 2026 and 2027 vs. 8% in 2025, on a thin book after sustained losses since Covid.
- In our **bull case**, we expect a 5% pax yield hike from our base case assumption given effective anti-involution efforts. In this scenario, the Big Three airlines' average ROE is expected to improve to ~20% in 2025, and reach ~30% in 2026-27e.
- In our **bear case**, there could be 5% pax yield decline vs. our base case assumption amid intensified market competition without pricing discipline. The Big Three airlines could remain loss-making in 2025 and merely break-even in 2026 amid sustained pricing pressure.

Internet: Intense competition to linger

Gary Yu, Eddy Wang, Joanne Lau, Kathy Zhu

China's anti-involution guidelines are not about curbing competition, but about guiding it towards innovation, operational efficiency, and ecosystem sustainability. We anticipate more rational user subsidies in food delivery/quick commerce, increasing spending on rider welfare and merchant profitability, and a sustained focus for traditional e-commerce platforms to give back to merchants. Companies that balance innovation, efficiency and ecosystem health should emerge as long-term winners. Our order of preference for China E-commerce is BABA>PDD>Meituan>VIPS>JD.

Key stock beneficiaries from the anti-involution theme: BABA, PDD, Meituan.

Related reports:

[China Internet: Burn to Earn - The 30-Minute Battle \(7 Aug 2025\)](#)

[China Internet and Other Services: Food Delivery Platforms Vow to Support Anti-Involution \(1 Aug 2025\)](#)

Exhibit 52: China Internet: Earnings growth and ROE forecast (2025-30E); key stock beneficiaries

E-commerce	Base case		
	2025E	2026E	2027E
Earnings growth	-26.4%	26.9%	17.0%
ROE	14.2%	15.9%	16.2%
Key stock beneficiaries	BABA, PDD, Meituan		

Source: Morgan Stanley Research (E) estimates.

Timeline

Sep 1, 2024: (State Administration for Market Regulation) **SAMR Interim Provisions on Internet Anti-Unfair Competition** enter into force, which is the first "traffic light" rules on algo, data scraping, and predatory pricing in the platform economy -

- Ban on the usage of algorithms and data to influence users, including fabricating positive user reviews, using display methods that mislead by hiding negative reviews or manipulating their placement, and failing to differentiate between reviews for different products clearly.
- Prohibit exclusivity agreements that force merchants to use only a specific platform or impose unreasonable restrictions on the price or sales target.

Mar 5, 2025: SAMR published a draft **Outline on Measures to Regulate Online Transaction Platforms**, focusing on fair competition, merchant rights, and consumer protection -

- Address issues including platforms' refund-only policies, automatic price-following mechanisms, and complex fee structures, requiring greater transparency and

fairness and a lower burden for SME merchants.

- Mandate clearer algorithm rules to prevent price discrimination and protect workers' rights (giving an example of a food delivery rider).

May 13, 2025: After JD/Alibaba's aggressive foray into food delivery sector, SAMR and four other Chinese regulators summoned Meituan, JD, Ele.me over unfair competition in the food delivery sector. Platforms were told to -

- Comply with laws like E-Commerce Law, Anti-Unfair Competition Law, Food Safety Law
- Fulfill corporate responsibilities
- Improve internal management and promote fair, lawful and orderly competition
- Protect consumers, merchants, and riders' rights, and ensure healthy platform economic development

Jul 18, 2025: After two "Super Saturdays" in July which saw daily orders spike for Alibaba/Meituan (80mn/150mn at peak), SAMR again summoned Ele.me, Meituan and JD over unfair competition, further regulating promotional behaviors, encouraging rational competition, and fostering a healthy ecosystem and win-win situation for consumers, merchants, delivery riders, and platform operators. Demanding platforms to comply with laws like E-Commerce Law, Anti-Unfair Competition Law, and the Food Safety Law.

Potential Industry play-out

Despite regulators' anti-involution guidance, we think the regulator acts as a oversight role and focuses on reshaping the industry to ensure fair, lawful and orderly competition, rather than curbing competition. Meanwhile, the subsidy-fuelled prisoner's dilemma is likely to prolong the cash burn (peaking in 3Q25) to protect market share and user mindshare.

We anticipate recent regulatory intervention should curb "free milk tea"-style cash burn, peak investment level may arrive in 3Q25 and be lower than market expectation with more rational subsidies.

However, we believe competition and investments in the food delivery/quick-commerce space will prolong, as food delivery has proven to help acquire new users. In addition, platforms are to allocate more to riders' welfare as well as merchant profitability (platforms may need to bear higher % of subsidy, and potentially adjust commission structure).

Read across to food delivery/quick-commerce

We expect investments in the food delivery/quick-commerce space will prolong as it helps to acquire new users, but competition will focus on fulfillment quality and user experience. We believe **Meituan** will remain the dominant player, driven by:

- **Innovation:** e.g., "satellite-store" format for food delivery, "instamart" for instashopping, Keeta in overseas
- **Efficiency:** deep knowhow in order dispatch system and merchant operation)
- **Ecosystem health:** Meituan targets to invest Rmb100bn in F&B industry over the

next 3 years

Earnings and ROE scenario analysis for E-commerce sector

Base case: We expect competition to be the most intense in 3Q, while we remain cautious on the competitive landscape thereafter. We now expect total food delivery investments of Rmb30bn/Rmb50bn/Rmb100bn in 2Q/3Q/FY25, which will drive sector earnings decline to -26% YoY in FY25 (vs +31% in FY24) and ROE to decelerate to 14% from 22% in FY24.

Bear case: We expect intensified competition in both 3Q and 4Q, and price competition to be prolonged until 2H26. In this case, we expect further earnings downside to the sector, to -34% YoY in FY25 and ROE to further decelerate to 10%.

Bull case: We expect competition to peak in 3Q, while 4Q25 and 1Q26 should start to see a stabilized competitive landscape. In this case, we expect narrower earnings decline of -21% with subsidies to pullback sooner, while sector ROE sees less impact at 17% for FY25.

Consumer: Pricing trend is key to a re-rating

Lillian Lou, Wilkins Tong, Dave Zheng

Anti-involution policies are unlikely to spark a meaningful CPI rebound or drive a consumer sector re-rating in 2H25, as weak demand remains the main drag. Instead, pricing power will be the critical driver for valuations, with prolonged subsidies posing a risk to price perception, especially in freshly brewed tea and restaurant segments. Regulatory efforts to curb platform price wars should ease margin pressure, but restoring consumer willingness to pay higher prices will take time. Against this backdrop, we favor operators with strong execution and delivery leverage – YUM China stands out for its same-store sales growth potential and operational efficiency.

Key stock beneficiaries: YUMC, Haidilao, Chagee.

Related reports:

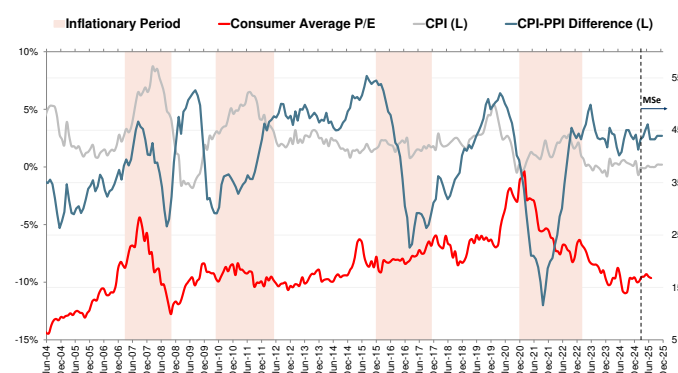
[China/Hong Kong Consumer: General F&B: Where to Be Positioned Amid Anti-Involution \(24 Jul 2025\)](#)

Exhibit 53: China Consumer Services: Earnings growth and ROE forecast (2025-30E); key stock beneficiaries

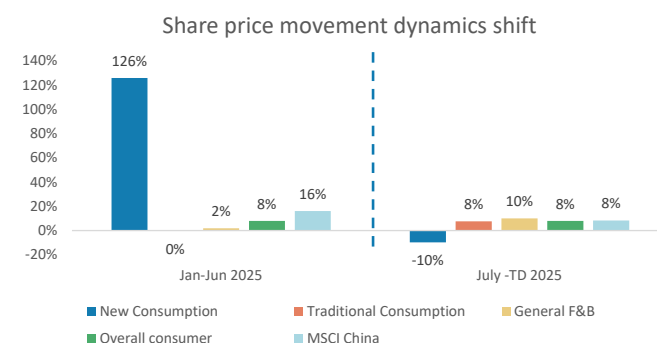
Consumer Services	Base case		
	2025E	2026E	2027E
Earnings growth	15.9%	15.1%	13.3%
ROE	16.8%	17.2%	18.0%
Key stock beneficiaries	YUMC, Haidilao, Chagee		

Source: Morgan Stanley Research (E) estimates.

Our covered consumer stocks rallied by 8%, in particular F&B stocks rebounded 10%, since July 1 along with the market (MSCI China Index +8%), which expects the anti-involution policy to drive higher PPI, translating to better CPI. In our view, however, the anti-involution policy introduction is unlikely to drive meaningful improvements in CPI in 2H25 but rather demand weakness remains the key overhang. Our macroeconomics team forecasts CPI at 0.1% in 2H25 vs -0.1% in 1H25, and the minor improvement in CPI may not be meaningful in supporting a re-rating cycle for the consumer sector. We think, rather, that pricing trends will be the key indicator for individual segments, reflecting the change in demand for individual segments, which would be more indicative for driving valuation re-rating. Consumption-supportive policies would provide some support to demand sentiment.

Exhibit 54: CPI-PPI vs. P/E

Source: FactSet, Morgan Stanley Research

Exhibit 55: Share price movement before and after Anti-Involution policy announcement

Source: FactSet, Morgan Stanley Research. Data as of Aug 29. Note: 'New Consumption' stock includes Popmart, Giant Biogene, Bloks, Mixue, Guming, Laopu, Maogeping and Weilong; Traditional Consumption stock means consumer sector excl. New Consumption stock.

Implications for Freshly Brewed Beverages/Restaurants from Potential Anti-Involution Action

While we see pricing trends as the more important driver behind operations and valuations across most of our covered segments/companies, we see anti-involution as more relevant to freshly brewed tea and restaurant sectors.

After JD/Alibaba/Meituan's aggressive foray in the food delivery sector, there was a clear spike in order count for freshly brewed beverages players or QSR players with delivery exposure, benefiting the top-line growth for such names. At the same time, however, according to our channel checks, the near-term impact on company profit varied given: 1) level of subsidies being shared by merchandise with food delivery platforms; 2) increasing order cancellation with more rush orders on heavy subsidies, creating disruption to store management and wastage; and 3) cannibalization to higher value dine-in demand, impacting in particular premium players such as Chagee, which has larger stores comparatively and higher-ticket size dine-in consumption. In the long run, we also expect a prolonged negative impact on product pricing if subsidies continue for more quarters, as consumer perception on general pricing levels will likely move lower.

For restaurant names, such as Haidilao and Jiumaojiu, we expect a general decline in dine-in consumption during the price competition between food aggregators. For QSR players, there could be benefits from incremental delivery orders, with impact to profit lying on the balance of operating leverages from better delivery traffic with rising rider cost and supply chain management amid volatilities brought by subsidy program shifts. We favor YUMC (YUMC.N) with upside on SSSG and its operational management efficiency.

With State Administration for Market Regulation summoning JD, Meituan and Ele.me to discuss about anti-involution, our internet team expects the intensity of competition should be curbed. Investments will likely mainly focus on new user acquisition, and platforms are responsible for maintaining merchants' profitability. We see this as a positive for freshly-brewed tea and restaurant names as it could alleviate some pressure on margins for the brands but we could see sequential decline in order counts (still positive yoy). In the long run, it could take more time before consumers accept higher pricing for products as subsidies are reduced.

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